UOA

REAL ESTATE INVESTMENT TRUST

ANNUAL REPORT 2019

Cover

Wisma UOA Damansara II is a 16-storey Grade A office building situated prominently along Jalan Semantan and next to Semantan MRT Station. This building is a MSC-Designated Premises located within the MSC Malaysia Cybercentre@UOA Damansara.

UOA Centre

Contents

Glossary

Manager
UOA Asset Management Sdn Bhd 200501015592 (692639-U)

Parcel B – Menara UOA Bangsar
Consisting of a tower block, namely Tower B comprising 15 levels of office space, 3 levels of retail podium, 6 levels of elevated car park and 4 levels of basement car park (which form part of a development known as Menara UOA Bangsar)

Properties
Wisma UOA Damansara II, Parcel B – Menara UOA Bangsar and the parcels within UOA Centre, UOA II and UOA Damansara

Property Manager
Jordan Lee & Jaafar Sdn Bhd 198001006117 (59901-U)

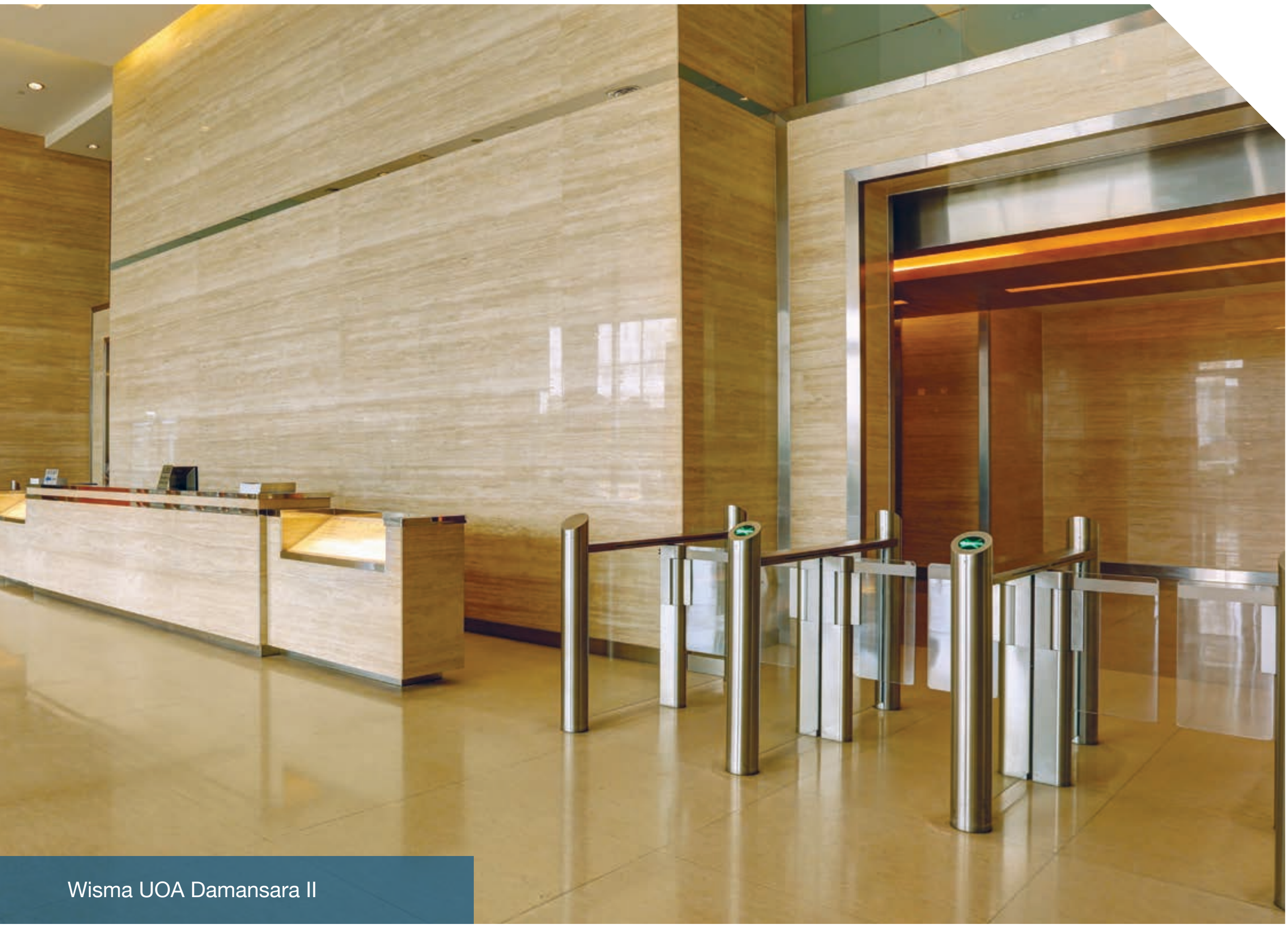
Trustee
RHB Trustees Berhad 200201005356 (573019-U)

Unitholders
Unitholders of UOA REIT

UOA Ltd Group
United Overseas Australia Ltd (ACN009245890) and its subsidiaries

UOA Holdings Group
UOA Holdings Sdn Bhd 198901012937 (190246-V) and its subsidiaries

UOA REIT/The Trust
UOA Real Estate Investment Trust


Wisma UOA Damansara II

Corporate Information

MANAGER
UOA Asset Management Sdn Bhd
200501015592 (692639-U)

PRINCIPAL PLACE OF BUSINESS OF THE MANAGER
UOA Corporate Tower
Lobby A, Avenue 10, The Vertical
Bangsar South City
No. 8, Jalan Kerinchi
59200 Kuala Lumpur, Malaysia
Telephone: +603 2245 9188
Facsimile: +603 2241 4862

REGISTERED ADDRESS OF THE MANAGER
No. 9, Jalan Indah 16
Taman Cheras Indah
56100 Kuala Lumpur, Malaysia
Telephone: +603 9287 1000
Facsimile: +603 9287 2000

BOARD OF DIRECTORS OF THE MANAGER
Alan Charles Winduss *(Chairman)*
Kong Sze Choon *(Chief Executive Officer)*
Kung Beng Hong
Dato' Gan Boon Khuay
Yap Kang Beng

AUDIT AND RISK MANAGEMENT COMMITTEE
Kung Beng Hong *(Chairman)*
Dato' Gan Boon Khuay
Alan Charles Winduss

COMPANY SECRETARIES OF THE MANAGER
Yap Kai Weng (MAICSA No.: 74580)
Wong Yoke Leng (MAICSA No.: 7032314)

MANAGEMENT TEAM OF THE MANAGER
Kong Sze Choon *(Chief Executive Officer / Executive Director)*
Liao Wan Xin *(Accountant)*
Fam Chai Hing *(Compliance Officer)*

TRUSTEE
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200201005356 (573019-U)
Level 11, Tower Three
RHB Centre
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PROPERTY MANAGER
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REGISTRAR OF THE TRUST IN CHARGE OF THE REGISTER OF UNITHOLDERS
Tricor Investor & Issuing House Services Sdn Bhd
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AUDITORS
Grant Thornton Malaysia PLT
(201906003682 & AF 0737)
Level 11, Sheraton Imperial Court
Jalan Sultan Ismail
50250 Kuala Lumpur, Malaysia
Telephone: +603 2692 4022
Facsimile: +603 2732 5119

BANKERS
CIMB Bank Berhad
AmBank (M) Berhad
AmBank Islamic Berhad
United Overseas Bank (Malaysia) Berhad
HSBC Bank Malaysia Berhad
HSBC Amanah Malaysia Berhad

STOCK EXCHANGE LISTING
Bursa Malaysia Securities Berhad
Stock Code: UOA REIT 5110

WEBSITE
www.uoareit.com.my

INVESTOR RELATIONS
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+603 2245 9192 (International)

Profile of Directors of The Manager

Alan Charles Winduss

(Independent Non-Executive Chairman)

Alan Charles Winduss, Australian, male, aged 79, is an Independent Non-Executive Chairman and a member of the Audit and Risk Management Committee. He was appointed on 28 November 2005 as Director and was re-designated to Chairman on 21 April 2016. He was re-designated to Independent Non-Executive Director on 18 April 2018. He is also a Director of Winduss & Associates Pty Ltd. He has been involved in the professional accounting in public practice for over 33 years, specialising in matters relating to corporate management, restructuring, corporate finance and company secretarial matters including the Australian Securities Exchange ("ASX") and the Australian Securities Exchange and Investments Commission compliance. The accounting practice of Winduss & Associates Pty Ltd lists among its field of expertise matters relating to property development, management and ownership. He sits on the board of two companies listed on the ASX, and serves on the board of Australian incorporated private limited companies. Mr. Winduss is also Independent Non-Executive Director of UOA Development Bhd and United Overseas Australia Ltd, the ultimate holding company of the Manager.

Mr. Winduss graduated from the Perth Technical College (now known as Curtin University) with a Diploma in Accounting in 1963. He is a member of various professional bodies including the Institute of Chartered Accountants in Australia and the Certified Public Accountants Australia. In addition, he is an Associate Fellow of the Australian Institute of Management, a Fellow of the Taxation Institute of Australia, a Fellow of the Australian Institute of Company Directors and a registered Australian Company Auditor.

He does not have any family relationship with any Director and/or major unitholder of UOA REIT, nor any conflict of interest with the Manager, UOA Asset Management Sdn Bhd. He has no conviction for any offences, and there is no sanction or penalty imposed on him by any regulatory bodies over the past 5 years.

Kong Sze Choon

(Chief Executive Officer and Non-Independent Executive Director)

Kong Sze Choon, Singaporean, male, aged 43, is Chief Executive Officer and Non-Independent Executive Director. He was appointed on 14 January 2011. He is a graduate of Curtin University of Technology, Australia with a Bachelor of Commerce Degree in Finance. Mr. Kong worked in financial institutions in Singapore where he was involved in managing and growing the investment portfolio of high net worth individuals. He was part of the management team and held the position of Asset Management Manager prior to his appointment as Chief Executive Officer.

He joined UOA Holdings Group in 2002 and his initial roles in UOA Holdings Group were predominantly in leasing as well as sales and marketing of commercial and residential developments of the UOA Holdings Group. Apart from his key role in the Leasing department, he was also involved in business development of UOA Holdings Group.

He is currently Director of UOA (Singapore) Pte Ltd, a subsidiary company of the ultimate holding company of the Manager, United Overseas Australia Ltd ("UOA Ltd"). He is also the Alternate Director to Mr. Kong Chong Soon, Managing Director of UOA Development Bhd.

He is the son of Mr. Kong Chong Soon, an indirect major shareholder of UOA Asset Management Sdn Bhd ("Manager") and a major unitholder of UOA REIT via his interest in UOA Ltd Group. He does not have any conflict of interest with the Manager and has no convictions for any offences, and there is no sanction or penalty imposed on him by any regulatory bodies over the past 5 years.

Kung Beng Hong

(Independent Non-Executive Director)

Kung Beng Hong, Malaysian, male, aged 74, is one of our Independent Non-Executive Directors and Chairman of the Audit and Risk Management Committee. He was appointed on 28 November 2005. He is a graduate of University of Malaya majoring in Economics and a Fellow of Institute of Bankers, Malaysia. He has had an illustrious career in the banking industry over the last 51 years where he held numerous senior management posts including stints in United States of America and Singapore with Citibank where he served for 19 years. Other notable positions held include Senior General Manager of MBF Bhd (1984 – 1986), General Manager/Executive Director of United Asian Bank (1986 – 1992), Chief Executive Officer/ Director of Overseas Union Bank (1992 – 2002), Managing Director/Chief Executive Officer of AmBank (M) Berhad (2002 – 2003), Group Chief Executive Officer/Director of EON Bank Group (2003 – 2004) and Non-Independent Non-Executive Director of Alliance Bank Malaysia Bhd and Chairman/Non-Executive Director of Alliance Investment Bank Bhd.

Mr. Kung currently serves as Adviser to Fullerton Financial Holdings Pte Ltd. He also holds directorships in Asian Institute of Finance Bhd, (a non-listed public company limited by guarantee). Alliance Financial Group Bhd, both of which are under Members' Voluntary Liquidation, and Quill Motorcars Sdn Bhd.

He does not have any family relationship with any Director and/ or major unitholder of UOA REIT, nor any conflict of interest with the Manager, UOA Asset Management Sdn Bhd. He has no conviction for any offences, and there is no sanction or penalty imposed on him by any regulatory bodies over the past 5 years.

Dato' Gan Boon Khuay

(Independent Non-Executive Director)

Dato' Gan Boon Khuay, Malaysian, male, aged 66, is one of our Independent Non-Executive Directors and a member of the Audit and Risk Management Committee. He was appointed on 16 November 2005. He holds a Bachelor of Science (First Class Honours) Degree in Civil, Structural and Environmental Engineering from University College London, University of London, United Kingdom. He was awarded the Chadwick Medal & Prize in 1977. He has also successfully completed the East Asian Executive Leadership Course from Harvard University, Boston, United States of America. On 19 March 2012, he was conferred the IEM Honorary Member Award by the Institution of Engineers, Malaysia.

Dato' Gan Boon Khuay has over 43 years of experience in property and project management as well as property development and investment. After a 3-year stint as Property and Project Manager of Rahim & Co, Chartered Surveyors, he co-founded the Senawang Land group of companies and served on the Board initially as Project Director and for the last 31 years as Managing Director. He also holds directorships in various private limited companies.

Dato' Gan Boon Khuay was appointed Chairman of Plaza Mont' Kiara Management Corporation in October 2017. He was also the Chairman of Plaza Mont' Kiara Joint Management Body from January 2014 to June 2015 (until the formation of Plaza Mont' Kiara Management Corporation).

He does not have any family relationship with any Director and/or major unitholder of UOA REIT, nor any conflict of interest with the Manager, UOA Asset Management Sdn Bhd. He has no convictions for any offences, and there is no sanction or penalty imposed on him by any regulatory bodies over the past 5 years.

Yap Kang Beng

(Non-Independent Non-Executive Director)

Yap Kang Beng, Malaysian, male, aged 44, was appointed Non-Independent Non-Executive Director on 18 March 2016. He graduated with a Degree in Bachelor of Economics (Honours) in Accounting and Finance from University of Manchester, United Kingdom.

He joined UOA Holdings Sdn Bhd in 2010. His duties included corporate affairs and investor relations matters. He is also involved in leasing as well as sales and marketing of commercial developments of UOA Holdings Group.

He worked in the financial industry for over 13 years prior to joining UOA Holdings Group. Before he assumed the present position, he was a global investment specialist in J.P. Morgan Private Bank (Singapore). Prior to that, he also took up different roles in Treasury and Risk Management in Hong Leong Bank Berhad and Standard Chartered Bank Berhad.

He does not have any family relationship with any Director and/or major unitholder of UOA REIT, nor any conflict of interest with the Manager, UOA Asset Management Sdn Bhd. He has no convictions for any offences, and there is no sanction or penalty imposed on him by any regulatory bodies over the past 5 years.

Management Discussion & Analysis

Menara UOA Bangsar

OVERVIEW OF BUSINESS AND OPERATIONS, OBJECTIVES AND STRATEGIES

UOA Real Estate Investment Trust ("UOA REIT" of "Trust") is a real estate trust fund which commenced its operations on 1 December 2005 and was listed on the Main Market of Bursa Malaysia Securities Berhad on 30 December 2005.

The principal activity of UOA REIT is to invest in a diversified portfolio of real estate and real estate-related assets used, or predominantly used, for commercial purposes. Geographically, it is presently focused in Kuala Lumpur where all existing assets in the portfolio are located in.

The objective of UOA REIT and its subsidiary (the "Group") is to achieve a stable return from rental income and long term capital growth in its assets. In order to enhance the performance of the Properties in the portfolio, the Group employs active operating strategies which include optimising of rental income via management of tenancies and renewals, improving tenant retentions through relationship management, working closely with Property manager to pursue new tenancy opportunities. The Group also, where practicable, carry out asset enhancement initiatives to maintain or improve the quality and appearance of the Properties.

UOA Damansara & Wisma UOA Damansara II

The Manager seeks to enhance the unit value through selective acquisitions. Apart from seeking yield-accretive acquisitions, the acquisition strategy also takes into consideration the location, existing occupancy rate, specifications, facilities as well as the tenant mix of the building.

Capitalising on the relationship with UOA Holdings Group of companies, one of Malaysia's leading property development, property investment, property management services and construction group of companies, the Manager expects to be at a competitive advantage and benefit towards achieving its long term acquisition objectives.

The Properties in the portfolio are intended to be held on a long term basis. Where a property has reached a phase with limited prospect for growth, selling the property can be considered.

Guided by the gearing limits stipulated in Securities Commission's Guidelines on Listed Real Estate Investment Trusts ("REIT Guidelines"), the Manager aims to optimise the Group's capital structure and cost of capital.

The Management is aware of the recent outbreak of the novel coronavirus, COVID-19 and is taking precautionary actions by increasing the frequency of hygiene and cleaning services as well as sending circular to tenants to raise awareness in REIT Buildings. Where necessary, the Management will consider the next course of action guided by instruction issued by the Ministry Of Health.

FINANCIAL HIGHLIGHTS

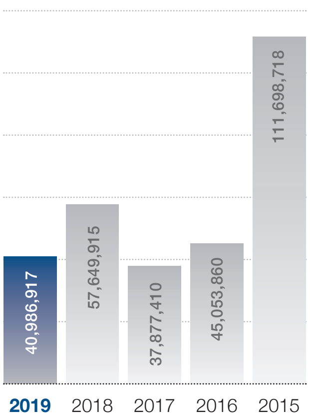
	Year ended 31 December 2019	Year ended 31 December 2018	Year ended 31 December 2017	Year ended 31 December 2016	Year ended 31 December 2015
Total gross income (RM)	79,032,011	78,585,653	82,349,551	89,731,158	91,935,277
Income before tax (RM)	40,986,917	57,649,915	37,877,410	45,053,860	111,698,718
Income/(Loss) after tax (RM)					
- Realised	39,540,726	35,004,263	38,010,082	45,217,832	47,519,544
- Unrealised	(19,704,539)	22,532,509	(132,672)	4,413,829	62,797,718
Total	19,836,187	57,536,772	37,877,410	49,631,661	110,317,262
Earnings/(Loss) per unit (sen)					
- Realised	9.35	8.28	8.99	10.69	11.24
- Unrealised	(4.66)	5.33	(0.03)	1.05	14.85
Total	4.69	13.61	8.96	11.74	26.09
Distribution per unit (sen)	9.11	9.13	8.55	10.48	11.02
Total asset value (RM)	1,046,825,669	1,049,495,779	1,139,654,374	1,137,969,137	1,135,251,395
Net asset value (RM)	706,554,728	725,242,159	706,313,578	704,591,093	699,277,003
Net asset value per unit (RM)	1.671	1.715	1.670	1.666	1.654
Market price per unit (RM)	1.23	1.31	1.62	1.76	1.60
Distribution yield	7.41%	6.97%	5.28%	5.95%	6.89%
Annual total returns (RM)[1]	39,540,726	35,004,263	38,010,082	45,217,832	47,519,544
Average total returns [2]					
- for one year	8.31%	7.35%	7.98%	9.50%	9.98%
- for three years	7.88%	8.28%	9.15%	9.82%	9.87%
- for five years	8.62%	8.96%	9.42%	9.82%	9.67%

[1] Annual total returns are defined as realised income after tax.

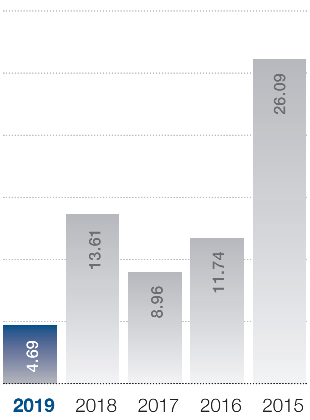
[2] Average total returns are calculated based on annual total returns for the respective financial years divided by unitholders' capital for the respective financial years.

Note:
Past performance is not necessarily indicative of future performance. Unit prices and investment returns may fluctuate in line with economic conditions and subsequent trust performance.

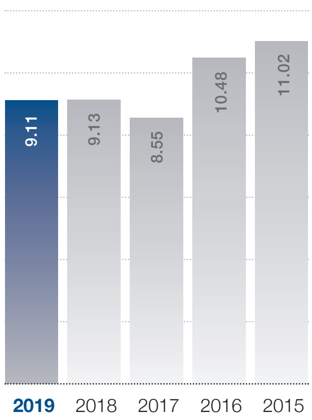
Income Before Tax (RM)



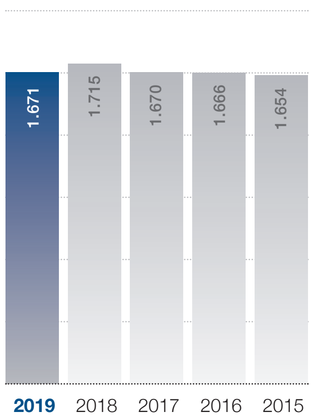
Earnings Per Unit (Sen)



Distribution Per Unit (Sen)



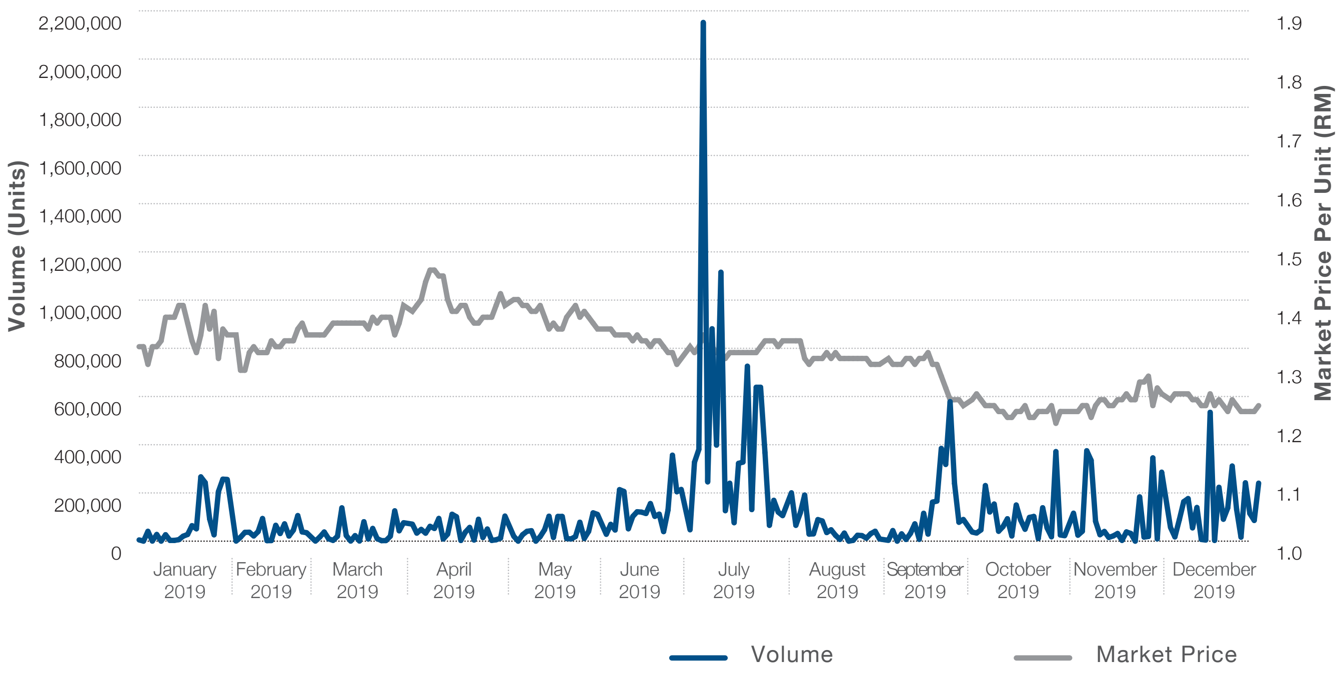
Net Asset Value Per Unit (RM)



FINANCIAL HIGHLIGHTS (Continued)

Total Asset Value and Net Asset Value (RM'000)

Trading Performance and Market Price Per Unit



REVIEW OF FINANCIAL RESULTS

1) Overall Financial Results

Gross Rental

For the financial year ("FY") under review, the Group recorded a total gross rental of RM78.7 million, which was 0.7% higher as compared to RM78.2 million in the preceding year. The increase was mainly due to higher occupancy at Wisma UOA Damansara II and the parcels within UOA Damansara. However, this was partially offset by the decrease in rental income due to the disposal of Wisma UOA Pantai, which was completed on 25 July 2018.

Property operating expenses

The property operating expenses dropped by 0.7% to RM20.8 million in FY2019 compared to RM20.9 million in FY2018. The decrease was mainly due to savings in utilities as a result of the replacement of air-conditioning chiller in Wisma UOA Damansara II and disposal of Wisma UOA Pantai in FY2018. However, the decrease was partially offset by increase mainly in service tax charged on major expenses with effect from 1 September 2019.

The summary of our gross rental, property operating expenses and net rental income for each property in the property portfolio FY2019 is detailed below:

Properties	Gross Rental (RM'000)	Property Operating Expenses (RM'000)	Net Rental Income (RM'000)
UOA Centre Parcels	6,151	1,924	4,227
UOA II Parcels	20,177	4,469	15,708
UOA Damansara Parcels	10,013	2,939	7,074
Wisma UOA Damansara II	16,337	3,291	13,046
Parcel B – Menara UOA Bangsar	26,056	5,713	20,343
Total	**78,734**	**18,336**	**60,398**

Non-property operating expenses

Total non-property operating expenses decreased to RM17.4 million from RM22.5 million in FY2018 was due primarily to lower borrowing costs resulted from the settlement of loan using the net sales proceed from the disposal of Wisma UOA Pantai and lower interest rate in year 2019.

2) Income For The Year

During FY2019, the Group reported an income of RM19.8 million compared to RM57.5 million in the previous financial year. The decrease in the income for the current financial year was mainly due to provision of deferred tax of RM19.8 million arising from the change in Real Property Gain Tax ("RPGT") rate and the absence of fair value adjustment on the investment properties in FY2019.

The provision of the deferred tax will not affect the realised income of the Group. The realised income increased by 12.96% from RM35.0 million in FY2018 to RM39.5 million in FY2019.

3) Income Distribution

The total distributable income for FY2019 was RM39.5 million (2018: RM35.0 million). The distribution per unit ("DPU") of 9.11 sen for the financial year ended 31 December 2019, represents approximately 95% of the total distributable income, compared to 9.13 sen in the previous financial year. This translates to a distribution yield of 7.41% (2018: 6.97%) based on the group's closing unit price of RM1.23 (2018: RM1.31) as at 31 December 2019.

REVIEW OF FINANCIAL RESULTS (Continued)

4) Investment Portfolio

As at 31 December 2019, the Group's investment properties value increased marginally to RM1,036.2 million mainly due to asset enhancement in Wisma UOA Damansara II amounting to RM1.1 million during FY2019.

There were no new acquisitions or disposals during the financial year and the total number of properties in the portfolio remains at five (5).

Updated market values for all investment properties is obtained from independent registered valuers. In view of the above and taking into account current market conditions, the Board of Directors assessed that the book values are fair. The Book Values were not adjusted and were taken to represent the fair values of the investment properties at the same date.

A summary of the values of all investment properties as at the financial year ended 31 December 2019 is as follows:

Properties	Carrying Value (RM)
UOA Centre Parcels	85,100,000
UOA II Parcels	294,000,000
UOA Damansara Parcels	121,000,000
Wisma UOA Damansara II	236,140,241
Parcel B – Menara UOA Bangsar	300,000,000
Total	**1,036,240,241**

5) Net Asset Value ("NAV")

As at 31 December 2019, the Group's NAV has decreased from 1.7150 to 1.6708. This was mainly due to the provision for deferred tax of RM19.8 million made in respect of the change in RPGT rate on the investment properties.

At the current average price of RM1.23, the REIT is trading at approximately 26% below its NAV.

6) Cash Flow

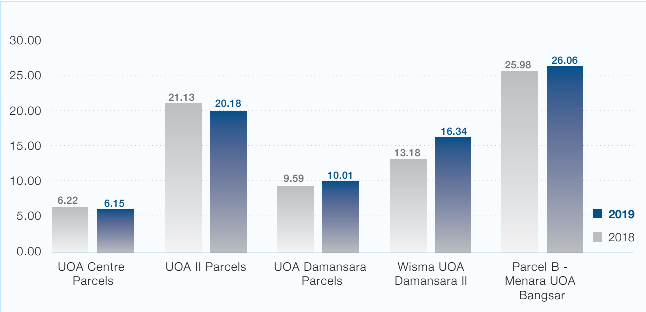
As at 31 December 2019, the Group's has cash and bank balances of RM1.6 million and deposits with licensed financial institution of RM1.0 million.

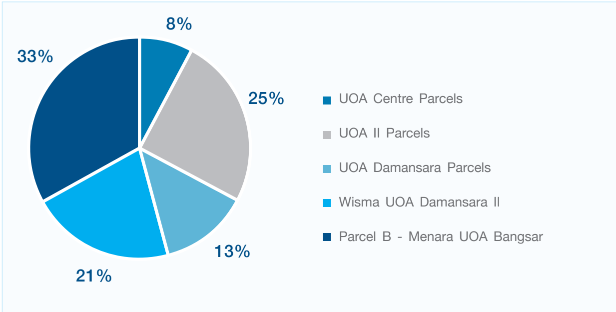
Based on the Statement of Cash Flows for FY2019, the Group has generated net cash from operating activities of RM54.6 million (before the payment of interest expenses of RM12.1 million) and utilised cash for investing activities amounting to RM1.2 million primarily for enhancements or AEIs of investment properties. The net cash used by the Group in financing activities of RM54.0 million comprising of the interest paid net of RM12.1 million, distributed income distribution totaling RM39.5 million and net repayment of bank borrowings of RM2.5 million during the financial year under review.

On a net basis, the Group has a net decrease of cash and cash equivalent of RM0.7 million in FY2019, which reduced the cash and cash equivalent to RM2.6 million as at 31 December 2019.

REVIEW OF OPERATING ACTIVITIES

1) Rental Income

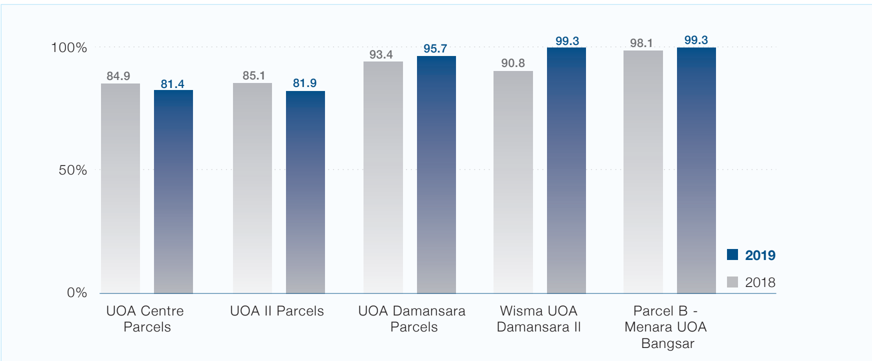




In financial year 2019, Parcel B – Menara UOA Bangsar was the highest income generating Property in the portfolio, followed by UOA II Parcels and Wisma UOA Damansara II. The three buildings, combined, represented close to 80% of the total gross rental income during the financial year.

The gross rental income for Wisma UOA Damansara II increased by approximately 24% compared to the preceding financial year. The increase was mainly due to higher occupancy. In the same financial year, UOA Damansara Parcels and Parcel B - Menara UOA Bangsar saw a slight improvement while UOA Centre Parcels and UOA II Parcels declined marginally. The overall increase in gross rental income was partially offset by the drop in rental income as a result of the disposal of Wisma UOA Pantai.

2) Occupancy Rates



Including all secured tenancies, there was an overall improvement in the occupancy rate of the Properties in the portfolio giving an average occupancy rate of over 90% as at 31 December 2019.

In financial year 2019, Wisma UOA Damansara II, UOA Damansara Parcels and Parcel B - Menara UOA Bangsar had registered occupancy rates of 99.3%, 95.7% and 99.3%, representing an increase of approximately 8.5%, 2.3% and 1.2% respectively. On the other hand, there was a decline of approximately 3.5% and 3.2% in occupancy rate of UOA Centre Parcels and UOA II Parcels as a result of departure of multiple tenants.

The weighted average lease expiry ("WALE") of the portfolio, including all secured tenancies, as at 31 December 2019 was approximately 1.37 years. The WALE is within expectation as all rental of Properties in the portfolio are typically executed via tenancy agreement. Hence, the Manager actively monitors all tenancy expiries to optimise renewal.

REVIEW OF OPERATING ACTIVITIES (Continued)

3) Asset Enhancement Initiatives

As part of our operating strategies, asset enhancement initiatives ("AEI") play a crucial part. Maintaining and upgrading UOA REIT's properties are essential to prolong the life of the asset and to ensure the properties in the portfolio are keep in good tenantable condition and continue to remain competitive.

During the financial year 2019, the Group has completed AEI for Wisma UOA Damansara II, e.g. replacement of air-conditioning chillers which commenced in financial year 2018. The cost of this initiative for financial year 2019 amounted to RM1.1 million, bringing the total cost to RM2.9 million.

As part of the effort to enhance the value of UOA II and its adjacent building, UOA Centre, a covered pedestrian bridge linking the UOA II directly to the existing KLCC-Bukit Bintang Walkway will be constructed. This initiative is expected to be completed in financial year 2020 and will be funded solely from the accumulated sinking fund. The link bridge is expected to improve the accessibility of both buildings given its direct connection to public transportation via the pedestrian bridge.

4) Funding Management

The current gearing ratio remains unchanged at 26%. The current funding is all sourced through revolving credit with effective cost of borrowings that ranges between 3.80% and 4.35%. Due to the nature of the borrowings, there is an exposure to interest rate risk in an increasing interest environment. The current risk is minimal as the market, in general, does not expect interest rate to increase.


Menara UOA Bangsar

MOVING FORWARD

The uncertainty in both domestic and global economies will remain as the main factor influencing the occupancy and rental rates of the Properties in the portfolio. The Manager continue to actively manage the Properties with prudent capital management given the expectation that the occupancy rates and rental rates, barring unforeseen circumstances, will remain flat due to the soft market sentiment. Meanwhile, the efforts to identify potential enhancement initiatives will continue in order to enhance the yields and returns of the Properties in the portfolio.

The Manager will maintain its active capital management strategy and continue to explore potential yield-accretive acquisitions that meets the objectives of UOA REIT.

Sustainability Statement

INTRODUCTION

UOA Real Estate Investment Trust ("UOA REIT") is a Malaysia-based unit trust established with the objective to own and invest in real estate and real estate-related assets used, or predominantly used, for commercial purposes, whether directly or indirectly through the ownership of single-purpose companies who wholly own real estate.

UOA REIT, together with the UOA Group of companies ("UOA"), is committed to creating a positive and enduring social impact through our sustainability initiatives that support our business, the environment and the communities in which we operate. Our approach to sustainability is defined by UOA's corporate philosophy of building excellence with a definitive focus on the areas of education, environment and community activities.

The scope of the report covers the economic, environment and social performance of UOA REIT's properties in Malaysia from 1 January 2019 to 31 December 2019 ("FYE2019"), with 1 January 2018 to 31 December 2018 ("FYE2018") being the year of comparison, where applicable. In view that the Trust does not have any employees, information reported in relation to employees are referred to the employees of the Manager. The Manager will continue reporting its sustainability performance on an annual basis.

UOA II

SUSTAINABILITY GOVERNANCE STRUCTURE

UOA REIT's sustainability strategy is overseen by the Board based on the following governance structure:


Wisma UOA Damansara II

The Risk Management & Sustainability Committee ("RMC"), chaired by the CEO, is responsible for the formulation of sustainability policies and implementation of sustainability initiatives while the financial and day-to-day business operations will be undertaken by the accountant and property manager respectively.

To better understand the requirements for Sustainability reporting, the management team has attended several workshops and conducted meetings on sustainability with the heads of departments.

STAKEHOLDER ENGAGEMENT

The table below illustrates UOA REIT's outreach efforts to its various stakeholder groups in 2019.

STAKEHOLDER	ENGAGEMENT CHANNEL	FREQUENCY
Trustees	- Annual General Meeting - Investor relation events	Yearly On-going
Tenants	- UOA newsletter - Tenants and office building management committee meetings	Yearly On-going
Unitholders	- Annual General Meeting - Interim financial reports - Unitholders' meeting - Corporate announcements - UOA newsletter	Yearly Quarterly On-going On-going Yearly
Employees	- Recruitment, training and development programmes - Staff appraisal - Long service award - Internship programme	On-going Yearly Yearly On-going
Investors/Fund Providers	- Analyst briefings - Regular meetings with analysts, fund managers and other Investors	On-going On-going
Regulatory Authorities	- Regular meetings with relevant authorities - Attending talks and conferences organised by regulators	On-going On-going
Industry Peers	- Conferences - Annual reports - Membership associations	On-going Annually Quarterly
Local Communities	- Community engagement programmes - Collaborations with NGOs - Donations and financial aid	On-going On-going On-going
Media	- Press releases - Regular updates and engagement sessions	On-going On-going

MATERIAL ANALYSIS

In determining sustainability priorities, UOA REIT continues to reach out to its stakeholders with the purpose to identify and address key sustainability issues which reflect significant economic, environmental and social impact on our business. It is essential for gaining a better understanding of the sustainability aspects that are important to UOA REIT as we strive to align them in our efforts to improve business practices, reduce environmental impact and enhance livelihoods.

MATERIAL ISSUES

ECONOMIC

Financial Sustainability
Our commitment to business excellence is underpinned by an unwavering focus on strong corporate governance and prudent financial management in the face of a challenging market environment. As such, we will continue our focus on the following areas:

- provision of regular and stable income distributions to Unitholders
- ensure long-term growth in terms of Net Asset Value ("NAV")
- improve the occupancy rates
- continue to explore opportunities for potential yield accretive acquisitions

UOA REIT owns a portfolio of 5 properties strategically located in Malaysia and receives rental income from the operation of these properties. These properties generated revenue of RM78.7 million and net realised income of RM39.6 million in FY2019. Our value creation ensures that the properties operate optimally to remain competitive in the marketplace. For a more detailed review of our financial performance, please refer to the Financial Statements section of this Annual Report.

Product Investments
Maintaining and upgrading the quality of UOA REIT's properties are essential to the success of the trust as well as meeting the expectations of all stakeholders and unitholders. The quality of the properties largely determines the value and income generated. During the financial year, we have completed asset enhancement initiatives for Wisma UOA Damansara II, e.g. replacement of air-conditioning chillers which commenced in the financial year 2018. The cost of this initiative for the financial year 2019 amounted to RM1.1 million, bringing the total cost to RM2.9 million.

As part of the effort to enhance the value of UOA II and its adjacent building, UOA Centre, a covered pedestrian bridge linking UOA II directly to the existing KLCC-Bukit Bintang Walkway is proposed and approved. This initiative is expected to be completed in the financial year 2020 and will be funded solely from the accumulated sinking fund.

The construction of the link bridge is aimed at delivering the following advantages/benefits to proprietors, tenants and visitors:

a) Accessibility and Linkage
The new link bridge will provide direct access from the building to KLCC and Pavilion KL. This will shorten the distance and time to access the existing pedestrian link bridge, thus providing convenient access to the nearby Public Transport hub (Monorail and KLCC LRT);

b) Covered Pedestrian Bridge
It will be constructed based on the same design as the existing KLCC pedestrian link bridge which is a fully covered link bridge, thus providing users with comfort, convenience and protection from the bad weather and windy days;

c) Staying Competitive In The Market
UOA Centre and Wisma UOA II are surrounded by many other buildings that offer the same type of property/office space for rental to potential tenant. Having a link bridge as one of the added amenities will be a plus point for our buildings to stay competitive in the market;

d) Potential Capital/Rental Appreciation
The link bridge - with its direct access from the KLCC pedestrian link bridge to the building - will assist in drawing the crowd to the building and attracting new tenants while creating a tremendous potential of capital/rental appreciation of the property for the building owners.

Regulatory Compliance
We integrate the compliance culture within our business by observing legal, regulatory and internal regulations as well as the observance of common standards and rules of professional conduct. Our business activities are conducted based on ethical and legal standards with high levels of integrity in fostering a sense of responsibility and trust with our stakeholders.

We also ensure that all sub-contractors/service providers deliver their services in accordance to requirements and adherence to appropriate evaluation process.

At UOA REIT, we also ensure our employees are kept up-to-date on corporate policies such as the 'Whistleblowing policy'.

The Whistleblowing policy aims to encourage employees and other stakeholder groups to disclose any improper conduct that they have become aware of. Concerns can be raised directly to the Independent Directors. The Manager is committed to ensuring that all cases will be treated in the strictest of confidence and promptly investigated. There were zero cases reported in 2018 and 2019.

Non-compliance with this policy is classed as major misconduct and the employee involved will be subjected to disciplinary action, which may lead to dismissal.

In addition, we are undertaking a study on the Guidelines on Adequate Procedures issued pursuant to subsection (5) of Section 17A of the Malaysian Anti-Corruption Commission Act 2009 (Act 694) ("MACC Act 2009") which comes into effect in June 2020.

Please refer to the Statement of Corporate Governance, Audit & Risk Management Committee Report, and Statement on Risk Management and Internal Control of this Annual Report for more details on compliance.

ENVIRONMENTAL

Continuous efforts have been put into managing UOA REIT's commercial buildings by Jordan Lee Jaafar, the property manager of UOA REIT. Listed below are the key areas which have contributed to the effective operation and cost saving management of the buildings.

Energy

The building sector is one of the largest sources of carbon emissions in the country. In view of global climate change and Malaysia's commitment to reduce carbon emissions, we have taken initial steps to implement new environment-friendly systems across our properties. While the trust and the property managers do not have operational control over tenants' electricity consumption, resources have been deployed at the property-level to enhance the ecosystem of the buildings, raise environmental awareness and foster energy conservation.

1. Implementation and monitoring of timer control/photocell/motion sensor for the lighting system
   i. Lift Lobby – timer control for peak and non-peak hours
   ii. Toilet/Staircase – installation of motion sensors to control the lighting
   iii. Outdoor Area – photocell to control the outdoor lighting

2. Introduction of highly efficient equipment/fitting
   i. Car Park Area – replacement of conventional lighting with LED lighting. The replacement of conventional lighting with T5 tube at Menara UOA Bangsar car park has led to a reduction in energy consumption and subsequently contributed to the reduction of carbon footprint
   ii. Corridor – replacement of conventional lighting with LED lighting at the corridors at UOA Centre and UOA II has led to monthly savings of more than RM7,000
   iii. Chiller – replacement of aging air-cooled chiller with high efficiency water cooled chiller. The installation was completed in December 2018. The replacement has led to a 31% savings in total energy consumption. The energy usage has been reduced from 2.54 million KWH in year 2018 to 1.68 million KWH in year 2019
   iv. Lifts – upgrading of existing lifts with high efficiency motor and equipment with energy regeneration system

3. Improvements on the air-conditioning system
   i. To improve the Building Control System to constantly monitor and optimise the Chiller Plant Performance

Water

We are also constantly seeking ways to reduce water consumption. In UOA REIT properties, Rain Water Harvesting Tanks are installed to facilitate landscape water consumption. We also installed the water-efficient technology such as the "self-closing" taps in refurbished toilets to minimise water wastage. Water consumption is monitored monthly to detect any unusual usage or potential leakage. We also conducted regular checks and replaced aging domestic pipes to prevent pipe burst and reduce water wastage.

Waste

We ensure that the wastes generated from our properties are collected and disposed of responsibly in accordance with legal requirements, to minimise the wastes sent to landfills. We collaborate closely with our Property Managers to identify responsible waste management practices that would benefit both our stakeholders and the environmental value of our properties.

Our green initiatives to reduce environmental waste have and will continue to be implemented by creative recycling of annual festive ornaments; reduction in paper usage by e-mailing information instead of sending by mail; and continuous evaluation of potential automation system in order to identify areas of improvement to reduce energy cost.

During the year, we have implemented process enhancement through e-billing and e-receipt. By sending rental invoices and payment receipts via email to all our tenants, we managed to save 34% of the printing costs and reduced 43% of the total paper consumption.

Green Building Initiatives

We also plan to introduce more initiatives on green management. We aim to improve the environmental performance at our buildings by incorporating green initiative requirements in our contractual lease agreements. This includes requirements to reduce the carbon and water footprints; and putting in place an integrated solid waste management plan.

As we advance in our sustainability journey, we will carry out initiatives to identify and implement additional energy conservation measures to reduce the overall electricity and water consumption at our properties. To this end, energy audits may be one of the tools considered in the near future for energy management within our buildings.

SOCIAL

As a real estate investment trust, social sustainability encompasses our tenants, the REIT Manager's employees, property manager's employees and those who frequently visit our buildings.

Customer focus

We are committed to achieving the highest customer satisfaction level by placing customers as a top priority. We maintain a responsible and responsive Facilities Management Programme with the objective of ensuring efficiency and peace of mind for owners/ tenants. Yearly survey is conducted for our tenants on the services provided and quality of the properties. Continuous improvements on the quality of our buildings and services are carried out.

We also undertake various measures to assure the quality of our buildings. Whilst all our buildings are equipped with fire services and security systems, we also arrange daily patrols by our appointed security personnel in order to ensure the safety of our buildings. Our building management division has adopted crisis management policies and procedures to ensure annual testing, simulations and training for crisis situations. These scenarios include electricity supply, lift system, gas and fuel supply, fire alarm system and water supply failure, as well as flooding.

In addition, we organise fire drills regularly to ensure that our tenants and other co-owners of our projects are familiar with the evacuation process. We also ensure annual certification of our elevators and escalators. Certified chargemen are engaged to continuously assess the safety and maintenance of our electrical wiring and installations. Asset Enhancement Initiatives ("AEI") including lifts upgrading are carried out to ensure our buildings are kept in a good, tenantable and competitive condition.

We also ensure that local tenants are given priority, whenever it is practical to do so, as we consider it important to support local businesses, their products and services, and to indirectly have a positive impact on the local economy.

Managing Occupational Health & Safety And Security

As landlord of properties, we always place the safety of tenants and occupiers of our properties a priority. We are committed to minimising risks; ensuring safety; and protecting the health of tenants, contractors, employees and visitors who work in or visit the Fund's properties. As such, we have incorporated occupational safety and health policies and guidelines into our daily business operations with the aim to establish a positive safety culture with zero tolerance of workplace injury.

We have fire drills annually, and all tenants are encouraged to participate in fire drills in the respective buildings to ensure their occupiers are familiar with escape routes in the event of any emergency.

Promising Workplace

The Manager acknowledges that the employees are our greatest assets. As an employer of choice, we are committed to growing and nurturing our talent pool through various channels, not only to help our employees reach their full potential, but also to ensure our business growth and sustainability.

- **Recruitment**

  We strive to formulate a people-centric human resource approach to retain and recruit talents. This is reflected in our conduct of employment, including recruitment, hiring, compensation, training and promotion for all employees, regardless of race, gender or age. We practice non-discriminatory employment policy with conscious effort in promoting inclusivity and diversity.

  Diversity is essential to our business as an investment fund as we require views and opinions from varying groups to ensure that the Fund remains relevant in the current economic environment. Hence, we strive to ensure that all parties receive equal opportunities and enjoy a conducive working environment.

- **Employee Breakdown**

  Currently, we have a gender distribution of 32% female and 68% male, 70% of which being Bumiputera while 30% are non-bumiputera. This reflects that we offer career advancement opportunities to deserving employees based on their performance, regardless of their gender or race.

  A majority of our employees lie within the 30 to 50 year age group. All employees are employed based on talents and capabilities to ensure that our workforce is culturally diverse and knowledgeable. Nevertheless, 20% of our employees lie within the age group of 30 and below. This shows that we also remain mindful of hiring young talent to groom Malaysia's younger generation with skills that will not only benefit our business and the economy but their employability value as well.

- **Training & Development**

  To facilitate the continuous development and motivation of our employees, relevant internal and external training programmes that tailor to different divisions and individual employees were organised. External courses comprising technical and non-technical training workshops, seminars as well as conferences amounted to a total of 229 hours by the employees.

- **Employee Engagement**
  Various activities such as Annual Dinner, UOA Bowling Day, UOA Badminton Tournament and UOA Futsal Tournament were held to promote engagement and camaraderie among the employees. These activities were organised by our Sports & Recreational Club Committee, which is run by UOA employees. The committee is responsible for the in-house gymnasium which offers recreational classes such as yoga, tai-chi, kick-boxing and dance sessions to promote a healthy work-life balance among the employees.

- **Minimising Turnover Rate**
  Our employee turnover rate was recorded at 20% for FY 2019. This achievement is a result of a good working culture, employee dedication and generous employer benefits including medical benefits, Takaful insurance coverage, leave entitlements and allowances. Our low employee attrition rate assures our stakeholders that the Fund is successful in retaining its professional working force.

  We adhere to the requirements of Malaysia's Minimum Wages Order 2016 and assure our stakeholders that our business practices will continue to comply with the Order throughout our operations. Ensuring that our employees are fairly compensated with remuneration packages that are competitive within the domestic REIT industry is an important factor that contributes to employee satisfaction and talent retention.


UOA Centre

COMMUNITY OUTREACH

As a responsible corporate citizen, we give back to communities wherever we operate through our multi-faceted approach towards corporate social responsibility, which is derived from education and community activities.

- **Education**
  UOA continued its support to the free intensive reading programme offered to children in Sentul and Kerinchi under the Jombaca Children Literacy Campaign by ADRF Malaysia. The campaign was held in collaboration with i-Sina, an intensive reading programme provider that assists children to be able to read in less than three months. More than 120 children aged 6 to 12 in Kerinchi and Sentul participated in the school holiday initiative.

  UOA also sponsored the ExcelLearn English Camp organised by ADRF Malaysia for underprivileged children in Kerinchi for the second consecutive year. The child learning enhancement programme was held to help the children improve their English literacy through brain stimulation exercises.

  ADRF Malaysia is a non-profit organisation that helps underprivileged and vulnerable children to better their lives through education by organising free intensive reading programmes for communities in need within Klang Valley.

- **Community Activities**
  UOA organised 'Kempen Kembali Ke Sekolah', a back-to-school campaign, for the fifth consecutive year for the underprivileged children in Kerinchi. New school bags, water bottles and stationery sets were distributed to 750 primary and secondary school children from low income families in the Kerinchi area. The event was graced by YB Fahmi Fadzil, Member of Parliament for Lembah Pantai.

  In conjunction with the Hari Raya festive celebration, an annual raya hamper distribution event was held to add some cheer to more than 100 single mothers and their children in the Kerinchi community in the true spirit of sharing and giving.

  UOA recognises the importance of such engaging initiatives as they form the basis of a caring community, thereby helping to shape a better and more sustainable society.

Statement of Corporate Governance

The Board of Directors of UOA Asset Management Sdn Bhd ("Board"), being the Manager of UOA Real Estate Investment Trust ("UOA REIT") and its subsidiary ("Group") recognises the importance of good corporate governance as they firmly believe that an effective corporate governance culture is essential in the best interests of the unitholders and is critical to the performance and success of the Manager and subsequently the Group.

The Board follows the practices and policies of the Securities Commission's Guidelines on Listed Real Estate Investment Trusts ("REIT Guidelines") and the Main Market Listing Requirements of Bursa Malaysia Securities Berhad ("Listing Requirements"). The Board has also adopted relevant principles and recommendations of the Malaysian Code of Corporate Governance 2017, where applicable to the operations of the Group and is pleased to provide a narrative statement on the Manager's main corporate governance practices and policies.

A. THE MANAGER OF UOA REIT

The Manager has general powers of management over the assets of the Group. Its primary role is to set the strategic direction of the Group and manage the assets and liabilities of the Group for the benefit of its unitholders, to ensure that the operations of the Group are conducted in a proper, diligent and efficient manner within an appropriate risk management framework; and to enhance value returns to its unitholders.

The Manager's primary functions and responsibilities include:

- Setting the strategic direction of the Group and recommend to the Trustee on the acquisition, divestment or enhancement of assets in accordance with the Manager's investment strategy;
- Formulating plans for equity and debt financing for the Group's capital requirements with the objective of optimising the capital structure and the cost of capital;
- Ensuring proper recording of transactions including the preparation of accounts, and annual financial statements and reports;
- Supervising the Property Manager who performs the day-to-day property management functions for the Group's properties; and
- Ensuring compliance with the relevant laws and applicable provisions of the REIT Guidelines, Listing Requirements and the trust deed constituting UOA REIT dated 28 November 2005 ("Deed").

UOA REIT is externally managed by the Manager and it has no personnel of its own. The Manager appoints experienced and well-qualified management personnel to handle the day-to-day operations. All Directors and employees of the Manager are remunerated by the Manager and not by UOA REIT. UOA Asset Management Sdn Bhd is the appointed Manager of UOA REIT in accordance with the terms of the Deed which outlines the circumstances under which the Manager can be retired.

The Manager holds a Capital Markets Services Licence as required under the Capital Markets and Services Act 2007 to carry on the regulated activity of fund management in relation to asset management restricted to real estate investment trust activities. The Manager is a member of the Securities Industry Dispute Resolution Centre (SIDREC) pursuant to the requirements in the Capital Markets and Services (Dispute Resolution) Regulations 2010.

B. BOARD OF DIRECTORS OF THE MANAGER OF UOA REIT

Role of the Board

The Board is responsible for the oversight and corporate governance of the Manager. The Board sets the strategic direction, and oversees the proper conduct of the Manager's activities, identifies principal risks and ensures the implementation of systems to manage these risks. In addition, the Board reviews key matters such as financial results, investments, divestments and major capital expenditure of the Group. In making decisions, the Board considers the business outlook and other factors affecting real estate investment trusts and property sectors.

Appointment to the Board

All new nominations are assessed by the Directors and the final decision of appointment lies with the entire Board to ensure a balanced mix of experience and expertise of members of the Board.

Board Composition

The Board presently consists of five (5) members, comprising one (1) Executive Director and four (4) Non-Executive Directors. Three (3) of the Non-Executive Directors are independent. The Board composition complies with provisions of the Listing Requirements and the REIT Guidelines for at least one third (1/3) of the Board to be independent.

The Board composition reflects a mix of suitably qualified and experienced professionals in the fields of accountancy, banking and finance, real estate development and property management. This combination of different professions and skills working together enables the Board to effectively lead and govern the Manager and the Group.

The Board is led by competent Independent Directors, namely an Independent Non-Executive Chairman and two Independent Non-Executive Directors, who are highly respected persons with extensive experience in various fields and are able to provide sufficient guidance and advice to the Audit and Risk Management Committee and the Board. The Board is of the opinion that the composition of the Board is adequate.

While the Board does not have female representation at this juncture, senior positions of the Group, including the Accountant and Compliance Officer are represented by females. There is no preference with regards to ethnicity and age. Appointments and promotions of all employees are based on the same principles.

Clear Roles and Responsibilities

The positions of Chairman of the Board and Chief Executive Officer ("CEO") are held by separate persons.

The Chairman leads the Board to ensure that members of the Board work together with the Manager in a constructive manner to address strategies, business operations, financial performance and risk management issues. The Chairman also takes a lead role in promoting high standards of corporate governance with the full support of the Board and the Manager.

The CEO is responsible for implementing the policies and decisions of the Board. The CEO also has full executive responsibilities over the business directions and operational decisions in managing UOA REIT.

The clear separation of roles of the Chairman and the CEO provides a healthy, independent and professional relationship between the Board and the management.

The Board is assisted by a qualified and competent Company Secretary and a Compliance Officer to provide sound governance advice and ensure adherence to rules and procedures.

Independence and Time Commitment

The Board receives annual written confirmation from the Independent Directors confirming their independence and in which the Directors acknowledge their respective positions. All the Directors are able to devote sufficient time and attention to the operations of UOA REIT and to update themselves with knowledge and skills by attending seminars and training. The Directors are also accessible by email and telecommunication should the need arises.

Corporate Code of Conduct and Whistle Blowing Policy

The Manager has in place procedures to provide its employees with defined and accessible channels to report on suspected fraud, corruption, dishonest practices or other similar matters relating to the Group and/or the Manager, and for the independent investigation of any reports by employees and appropriate follow up action.

The aim of the whistle blowing policy is to encourage the reporting of such matters in good faith, with the confidence that employees making such reports will be treated fairly, and to the extent possible, be protected from reprisal.

The Manager has developed a Whistle Blowing Policy for the public to have access to the Independent Directors and Chairman of the Board.

United Overseas Australia Ltd ("UOA Ltd"), the ultimate holding company of the Manager had established a Code of Conduct which set out the standards which directors, officers, managers, employees and consultants of UOA Ltd and its subsidiaries are expected to comply in relation to the affairs of their businesses.

The Manager is undertaking a study on the Guidelines on Adequate Procedures issued pursuant to subsection (5) of Section 17A of the Malaysian Anti-Corruption Commission Act 2009 (Act 694) ("MACC Act 2009") which comes into effect in June 2020.

Corporate Social Responsibility

The UOA Ltd Group continuously carries out corporate social responsibility initiatives in the areas of education, environment and community activities.

Board Meetings

The Board meets to discuss and review the Manager's operations and the financial performance of the Group and meetings are held at least once every quarter (or more often if necessary). The Board is provided in advance with the agenda together with reports and supporting documents relevant to the Board Meeting. The proceedings of the Board Meetings are duly minuted and signed by the Chairman of the meeting. The Board met six (6) times during the financial year ended 31 December 2019. The attendance record of the Board is as follows:-

Directors	Total Board Meetings attended	Percentage of attendance
Alan Charles Winduss	6/6	100%
Kong Sze Choon	6/6	100%
Kung Beng Hong	6/6	100%
Dato' Gan Boon Khuay	6/6	100%
Yap Kang Beng	6/6	100%

All the Directors have complied with the Listing Requirements by having attended more than fifty percent of the number of Board Meetings held.

All the Directors have access to the Audit and Risk Management Committee, the internal auditors, the Company Secretary and Compliance Officer, as well as to independent professional consultants for advice if and when necessary.

Directors' Fees

The remuneration paid by the Manager to its Directors for the year ended 31 December 2019 is as follows:

	Fees RM	Salaries RM	Others RM	Total RM
Executive Directors	-	557,190	87,389	644,579
Non-Executive Directors	144,000	-	-	144,000

Range of Remuneration Per Annum (RM)	Executive Directors	Non-Executive Directors
50,000 and below	-	3
50,001 to 100,000	-	-
100,001 to 150,000	-	-
150,001 and above	1	-

Directors' Training

During the year ended 31 December 2019, the Directors have attended training and seminars as follows:

Directors	Training and seminars attended
Alan Charles Winduss	1) Webb-Martin Monthly Corporate and Taxation Seminars 2) AIM - Inspirational Leaders Series
Kong Sze Choon	1) Fundamentals of Financial Services: Investment Banking 2) Valuation Fundamentals 3) Valuation of Intangible Assets 4) Malaysia REIT Forum 2019
Kung Beng Hong	1) CG Advocacy Programme – Cyber Security 2) Securities Commission – Audit Oversight Board – Conversation with Audit Committee 3) Malaysian REIT Forum 2019 4) ICDM – Rethinking Governance
Dato' Gan Boon Khuay	1) 12th Malaysian Property Summit 2019 – 21st February 2019 2) KPMG ACI Breakfast Roundtable 2019 – Corporate Liability, Governance Revelations from Inquest Reports & Business Continuity Management (BCM) 3) Enablers of the 21st Century 4) Malaysian REIT Forum 2019 5) Surviving the Turbulence & World Disruptions
Yap Kang Beng	1) PMS and KPI Briefing 2) Strata Title: A Developer's Perspective 3) Malaysia REIT Forum 2019

C. DUE DILIGENCE COMMITTEE

The Due Diligence Committee ("DDC") was established by and operates under the delegated authority of the Board. The DDC comprises one (1) Independent Director, one (1) Non-Independent Director and one (1) management representative. The DDC's role is to perform appropriate due diligence work on any proposed investment or divestment and make recommendations to the Board.

D. AUDIT AND RISK MANAGEMENT COMMITTEE AND AUDIT COMMITTEE

The Board has adopted the best practices in corporate governance by establishing an Audit and Risk Management Committee ("ARMC") and implemented an Internal Audit Function. The Board is committed to maintaining a sound and effective system of internal control in order to safeguard the interests of the unitholders of UOA REIT and the investments and assets of the Group.

Key Functions and Responsibilities, and Summary of Activities of the ARMC during the Year

The detailed ARMC Report including the key functions and responsibilities, and the summary activities of the ARMC are more specifically set out in the ARMC Report in this Annual Report.

E. INTERNAL AUDIT FUNCTION AND RISK MANAGEMENT

The Internal Audit Function is undertaken by the internal auditors of UOA Ltd and is independent of Management. The ARMC meets with the internal auditors at its quarterly meetings. A Risk Management Policy has been adopted by the Board to mitigate risks of the Group. Further details are set out in the Statement on Risk Management and Internal Control.

The ARMC reviews related party transactions at its quarterly meetings and whenever deemed necessary. A Related Party Transaction Policy has been adopted to enable the ARMC to review and deliberate on such transactions appropriately. Suitable recommendations are presented to the Board for approval.

The ARMC ensures that financial statements comply with the applicable financial reporting standards and meet with the external auditors at least two (2) times a year to ensure that such standards are in place. The external auditors confirm their independence to the ARMC at the meeting where they table the audit findings to the ARMC.

F. ACCOUNTABILITY AND AUDIT

Directors' Responsibility Statement for Preparing the Annual Audited Financial Statements

The Board is responsible for ensuring that the financial statements of the Group are drawn up in accordance with the Malaysian Financial Reporting Standards, International Financial Reporting Standards, REIT Guidelines and the Deed. In preparing the financial statements, the Directors have selected and applied consistently suitable accounting policies and made judgements and estimates that are reasonable and prudent.

Timely Disclosures

The Board ensures timely disclosure of transactions and other necessary disclosures by having in place various checklists prepared in accordance with regulatory requirements and disseminated to the relevant departments to enable disclosures to be made on a timely basis.

Relationship with Auditors

The appointment of the external auditors, nominated by the Manager, is approved by the Trustee ("Auditors"). The Auditors are independent of the Manager and the Trustee. The remuneration of the Auditors is approved by the Trustee. While there is no specific policy on the assessment of the Auditors, the Board reviews and approves the re-appointment of the Auditors on a yearly basis.

Communication with Unitholders and Dissemination of Information

The Board acknowledges the importance of regular communication with unitholders and the investing community to ensure that they are well informed of the activities and performance of the Group. The communication channels include UOA REIT's website, quarterly reports, annual reports, circulars, various disclosures and announcements on Bursa Malaysia's website, and at general meeting of unitholders.

Audit & Risk Management Committee Report

INTRODUCTION

The Board of Directors ("Board") has adopted the best practices in corporate governance by establishing an Audit and Risk Management Committee ("ARMC") and implemented an Internal Audit Function. The Board is committed to maintaining a sound and effective system of internal control in order to safeguard the interests of the unitholders of UOA REIT and the investments and assets of the Group. The ARMC provides assistance to the Board in fulfilling its corporate governance responsibilities in relation to financial reporting, internal control structure, related party transactions and external and internal audit functions. The ARMC may invite any of the key management or employees to participate in its meetings and to appoint any relevant consultants or professionals to assist it to discharge its functions.

COMPOSITION

The ARMC consists of following three (3) Independent Non-Executive Directors:

Mr. Kung Beng Hong	Independent Non-Executive Director / Chairman of the ARMC
Dato' Gan Boon Khuay	Independent Non-Executive Director
Alan Charles Winduss	Independent Non-Executive Director

SUMMARY OF TERMS OF REFERENCE

1. Composition

The ARMC is appointed by the Board from among its members. The appointment and composition of the ARMC is determined based on the following principles:

- Comprises at least three (3) members;
- All members must be Non-Executive Directors with a majority of them being independent directors;
- At least one (1) member must be a member of the Malaysian Institute of Accountants or a member of an accounting association as specified in Part II of the First Schedule of the Accountants Act, 1967; and
- The Chairman must be an Independent Director.

The ARMC consists of three (3) Independent Non-Executive Directors:

- Mr. Kung Beng Hong
(Chairman/Independent and Non-Executive Director);
- Dato' Gan Boon Khuay
(Independent and Non-Executive Director); and
- Mr. Alan Charles Winduss
(Independent and Non-Executive Director).

The Terms of Reference of the ARMC is published on our website.

2. Key Functions and Responsibilities, and Summary of Activities of the ARMC during the Year

The key functions and responsibilities of the ARMC are:

- To review together with the internal auditors, their internal audit plans and internal audit reports, and to evaluate major findings of these reports and management's responses to these findings;
- To review the adequacy of the scopes, functions, competencies and resources of the internal audit function and to ensure that it has the necessary authority to carry out its work;
- To direct the internal auditors to any specific area or procedure for audit if necessary;
- To review the internal auditor's report on risk management so as to evaluate key risks that would have significant impact on the Group's business and the measures taken to mitigate such risks;
- To recommend to the Board any matters relating to the appointment of external auditors, the fees and any matters in relation to resignation or dismissal of the external auditors;

- To review together with the external auditors, the audit plan and scope of their audit and upon completion of the audit assessment, to present the audit findings and recommendation of the external auditors to the Board;
- To assess the suitability and independence of the external auditors. The ARMC reviews the independence of the external auditors at the meeting where the external auditors confirm their independence when they table their audit findings to the ARMC;
- To discuss problems and reservations arising from the internal audit, statutory audit, and matters that the internal and/or external auditors may wish to discuss (in the absence of the management where appropriate);
- To review the quarterly results and year-end financial statements prior to the approval by the Board;
- To review financial statements with focus on significant matters highlighted including financial reporting issues, significant judgement made by management, and significant and unusual events or transactions, and how these matters are addressed;
- To monitor and evaluate the effectiveness of the Manager's internal control systems and the internal/external auditors' evaluation on these systems;
- To monitor the procedures established to ensure compliance with relevant laws and applicable provisions of the REIT Guidelines, Listing Requirements and the Deed;
- To review related party transactions and any conflict of interest situations that may arise within the Manager and/or the Group; and
- To perform any other functions as directed by the Board.

3. Frequency and Attendance of Meetings

A minimum of four (4) meetings a year shall be planned and any additional meetings will be on a need basis. The ARMC meets with the External Auditors without Executive Board members present at least twice a year. The ARMC meets regularly, with due notice of issues to be discussed, and record its conclusions and then report to the full Board as and when necessary. The Chairman of the ARMC engages on a continuous basis with Senior Management, the Accountant, the Internal Auditors and the External Auditors in order to keep abreast of matters affecting the Group. Other Board members and employees may attend any particular ARMC meeting only upon the invitation of the ARMC specific to a relevant meeting.

The ARMC met five (5) times during the financial year ended 31 December 2019. The attendance record of the ARMC are as follows:

Directors	Total Meetings attended	Percentage of attendance
Kung Beng Hong	5/5	100%
Dato' Gan Boon Khuay	5/5	100%
Alan Charles Winduss	5/5	100%

Summary of Activities of the ARMC during the Year

Functions and responsibilities performed by the ARMC during the financial year ended 31 December 2019 include the following:

- Reviewed the external auditors' Audit Planning Memorandum, audit approach and reporting requirement prior to the commence of audit for the financial year ended 31 December 2019;
- Reviewed the external auditors' Audit Progression Memorandum and Audit Completion Memorandum for the audit for the year ended 31 December 2019 and discussed on key audit areas and any significant audit findings;
- Reviewed the results of risk management activities;
- Reviewed the status of accounts receivable position with the internal auditors;
- Reviewed the functions of accounts payables and property management with the internal auditors:
- Reviewed the quarterly results for all the financial quarters and year-end;
- Reviewed and approved the reports and statements for the Annual Report 2019;
- Reviewed and discussed on tenant assessment and revenue assurance with the internal auditors;
- Reviewed the compliance in relation to related party transactions and the REIT Guidelines; and
- Reviewed with the internal auditors, and approved the annual audit plan for the year ending 31 December 2020.

Access to and Supply of Information

The ARMC is entitled to full access to and co-operation of the management and internal auditors. Other Board members and employees may attend any particular ARMC meeting upon invitation by the ARMC. The ARMC has full access to reasonable resources to enable it to discharge its functions properly.

UOA Damansara & Wisma UOA Damansara II

Statement On Risk Management and Internal Control

The Board of Directors of UOA Asset Management Sdn Bhd ("Board"), being the Manager of UOA Real Estate Investment Trust ("UOA REIT") and its subsidiary ("Group") is committed to nurture and preserve an effective and sound system of internal control to safeguard the interests of the unitholders of UOA REIT as well as the investments and assets of the Group. In this commitment, the Board has voluntarily adopted the best practices in corporate governance by establishing an Audit and Risk Management Committee ("ARMC") and setting up an Internal Audit Function, undertaken by the Internal Auditors of United Overseas Australia Ltd although it is not mandatory for UOA REIT, being a real estate investment trust, to comply with Paragraph 15.26 (b) of the Main Market Listing Requirements of Bursa Malaysia Securities Berhad.

The Board is pleased to provide a statement on the state of the Manager's internal controls for inclusion in this Annual Report for the financial year ended 31 December 2019.

Internal Audit Function

The internal audit function is undertaken by the Internal Audit Department of the ultimate holding company of the Manager, United Overseas Australia Ltd. The ARMC has an oversight function of all activities carried out by the internal auditors in respect of the Group.

The principal role of the internal auditors is to independently review the risk exposures and control processes implemented by the Manager and conduct assignments which encompass auditing and review of critical areas, report on the adequacy, effectiveness and efficiency of the operations and internal control and highlight the significant findings in respect of non-compliance within the Group to the ARMC.

The Internal Audit Department function is guided by the Institute of Internal Auditors' International Professional Practices Framework ("IPPF"). The internal audit framework is designed to be in line with the Committee of Sponsoring Organisations of the Treadway Commission ("COSO") Internal Control – Integrated Framework. The Internal Audit Department reports directly to the ARMC.

The internal auditors engage in regular communication with the senior management team and various departments within the organisation in relation to its internal audit activities and efforts for continuous improvement in operations and systems.

Internal audit reports which include details of activities planned, audit findings and recommendations are tabled at quarterly ARMC meetings.

A summary of internal audit activities that were undertaken during the financial year ended 31 December 2019 are as follows:

- Reviewed the adequacy and effectiveness of the risk management framework to identify risks that affect the Group;
- Reviewed the accounts receivable, collections and debts monitoring processes, and compliance to policies and procedures;
- Reviewed the tenancy management pertaining to renewal of tenancy, retention of tenant, turnaround time for replacement and re-instatement work for unit left by previous tenant;
- Reviewed the accounts payable system to ensure compliance to payment procedure and accuracy of accounts payable;
- Reviewed the financial management processes of the Group to ensure efficiency and effectiveness of the processes. These include the treasury, credit control and accounting system;
- Reviewed matters relating to compliance with the Securities Commission's Guidelines on Listed Real Estate Investment Trusts ("REIT Guidelines") and the Malaysian Code on Corporate Governance in order to ensure the relevant requirements are met; and
- Reviewed the related party transactions entered into by the Group and companies related to the Manager.

The professionalism and competency of internal auditors are being emphasised through continuous training, regular performance evaluation by the ARMC and professional certification attained. As at year ended 31 December 2019, Internal Audit Department comprises of 2 internal auditors. The head of Internal Audit Department is a member of The Institute of Internal Auditors Malaysia. All internal audit personnel are free from any relationship or conflicts of interest, which could impair their objectivity and independence.

Key Elements of Internal Control

The Board assumes its responsibility to maintain a sound and effective system of internal control and risk management practices within the Manager in order to meet business objectives. The Board acknowledges that the system provides reasonable but not absolute assurance against material misstatement of management and financial information or against financial losses or fraud. Therefore, the Board ensures the effectiveness of the system through regular reviews.

The Board has appointed the ARMC to review the effectiveness of the Group's system of internal control. The ARMC assisted by the Internal Audit Function, provides the Board with the assurance it requires on the adequacy and integrity of the system of internal control.

The current system of internal control has within it, the following key elements:

- There is an operations manual which provides an overview of the Manager's responsibilities in relation to management of the Group. This operations manual is a guide to daily activities and operations of the Group and is subjected to periodic review and updates;
- Financial authority limit delegated to management is defined and approved by the Board;
- Quarterly management reporting on the performance of the Group is presented to the Board;
- Operational structure is well defined with adequate segregation of duties to ensure check and balance on jobs, and delegation of authorities and responsibilities;
- Human resource policy & procedure and related human resource matters are communicated to staffs via memo, employee handbook which are also available on the internal information portal.
- Establishment of an Internal Audit Function which carries out internal audit review according to risk based audit plan approved by the ARMC. The internal auditors tabled the results of their review with recommendations and follow up actions to the ARMC on quarterly basis;
- Adequate insurance coverage in respect of insurable risk, including investment properties, to appropriate levels, which are determined upon consultation with relevant professionals;
- On-going training and educational programme for Directors and relevant staff in their respective areas of duties in order for them to perform their functions effectively;
- Adoption of a Risk Management Policy to identify key risks together with the appropriate measures and controls to manage the aforesaid risks which are then outlined in the Risk Register and subsequently appraised by the ARMC; and
- Adoption of a Related Party Transaction Policy to ensure that related party transactions are undertaken in compliance with the REIT Guidelines and the Trust Deed, and are carried out on an arm's length basis and on normal commercial terms.

Non-compliance and internal control weaknesses noted by the internal and external auditors and their recommendations will be reported to the ARMC. To date, there has been no identified non-compliance or internal control weaknesses of a material nature.

Risk Management

The Board has established a sound risk management framework which is currently being adopted by the Manager that enables it to continuously identify, evaluate, mitigate and monitor risks that affect the Group. Responsibility for managing risk lies initially with the business unit concerned, working within the overall strategy outlined by the Board. Therefore, the Manager has formed the Risk Management Working Committee ("RMWC") which encompasses key personnel from various departments to identify potential risks, to assess the effectiveness of existing controls and to develop mitigating measures to manage significant risks.

With the assistance rendered by the internal auditors, the RMWC has formulated and developed a Risk Management Policy which was reviewed by the ARMC and approved by the Board on 16 July 2013. In 2017, a revised Risk Management Policy was tabled for review to ARMC and approved by the Board on 21 November 2017. The revised Risk Management Policy reflects the Group commitment to implement a conclusive and updated risk management framework for the Group. The Risk Management Policy is aimed to:-

- Provide objectives and principles in risk management activities;
- Establish responsibilities and accountability in risk management;
- Establish risk management structure and process; and
- Determine risk appetite in managing risks.

The Risk Register is reviewed and updated periodically by the RMWC and presented to the ARMC on a yearly basis. During the financial year under review, new risks were identified and previously identified risks were revisited and reassessed on its rating and effectiveness on its internal control in mitigating the risk. The risk profiles were reviewed and assessed to ensure that the risk exposures are updated and properly mitigated to reflect the current economic environment and new regulatory requirements which may impact the Group.

The management has given assurance to the Board that the Group's risk management and internal control system is operating adequately and effectively, in all material respects, based on the Group's risk management and internal control system.

Review of This Statement by External Auditors

The external auditors have reviewed this Statement on Risk Management and Internal Control for inclusion in the annual report for the financial year ended 31 December 2019. Their review was conducted in accordance with *Assurance Engagements Other than Audits or Reviews of Historical Financial Information* ("AAPG 3"), *Guidance for Auditors on Engagements to Report on the Statement on Risk Management and Internal Control included in the Annual Report*, issued by the Malaysian Institute of Accountants (MIA). AAPG 3 does not require the external auditors to, and they did not, consider whether this Statement covers all risks and controls, or to form an opinion on the adequacy and effectiveness of the Group's risk and control procedures. AAPG 3 also does not require the external auditors to consider whether the processes described to deal with material internal control aspects of any significant problems disclosed in the annual report will, in fact, remedy the problems. Based on their review, the external auditors have reported to the Board that nothing has come to their attention that causes them to believe that this Statement is inconsistent with their understanding of the process the Board has adopted in the review of the adequacy and effectiveness of the risk management and internal control system.

The Board's Conclusion

The Board is of the view that the current system of internal control is responsive and adequate to the business environment of the Group. There was no material control failure or weakness that would have any material adverse effects on the results of the Group for the period under review.

In addition, the Board is of the view that the Group will maintain its business objective and operational efficiency by continuous commitment towards a sound system of internal control. The Board continues to take measures to enhance the system of internal control.

Additional Compliance Information

Material Contracts

There was no material contract entered into involving directors' and major unitholders' interest which were still subsisting as at the end of the financial year under review or which were entered into since the end of the previous financial year except as disclosed in Note 27 to the financial statements.

Non-Audit Fees

Non-audit fees paid/payable to the external auditors of the Trust and its subsidiary for the financial year ended 31 December 2019 amounted to RM3,000 in respect of services for the review of the Statement on Risk Management and Internal Control of the Trust.

The provision of non-audit services by the external auditors to the Group is both cost effective and efficient due to their knowledge and understanding of the operations of the Group, and did not compromise their independence and objectivity.

Directors Of The Manager's Responsibility Statement

for the Audited Financial Statements

The Directors of the Manager ("The Directors") are required by the Companies Act 2016 to prepare the financial statements for each financial year which have been made out in accordance with applicable Malaysian Financial Reporting Standards ("MFRS"), International Financial Reporting Standards ("IFRS"), the Securities Commission's Guidelines on Listed Real Estate Investment Trusts ("REIT Guidelines"), the provisions of the Deed dated 28 November 2005 ("Deed"), the requirements of the Companies Act 2016 and the Main Market Listing Requirements of Bursa Malaysia Securities Berhad.

The Directors are responsible to ensure that the financial statements give a true and fair view of the state of affairs of the Group and the Trust at the end of the financial year, and of the results and cash flows of the Group and the Trust for the financial year.

In preparing the financial statements, the Directors have:

- Adopted appropriate accounting policies and applied them consistently;
- Made judgements and estimates that are reasonable and prudent; and
- Prepared the financial statements on a going concern basis.

The Directors are responsible to ensure that the Group and the Trust keep accounting records which disclose with reasonable accuracy the financial position of the Group and the Trust which enable them to ensure that the financial statements comply with the Companies Act 2016. The Directors have taken reasonable steps to detect and prevent fraud and other irregularities, and to safeguard the assets of the Group and of the Trust.

Reports & Financial Statements

Manager's Report

UOA Asset Management Sdn Bhd, the Manager of UOA Real Estate Investment Trust ("UOA REIT" or "Trust"), has pleasure in presenting the Manager's Report on UOA REIT together with the audited financial statements of the Group and of the Trust for the financial year ended 31 December 2019.

PRINCIPAL ACTIVITY OF MANAGER

The Manager, a company incorporated in Malaysia, is a subsidiary of UOA Corporation Berhad (a subsidiary of UOA Holdings Sdn. Bhd. which in turn, is a wholly owned subsidiary of United Overseas Australia Ltd., a company incorporated in Australia and listed on the Australian Stock Exchange and the Stock Exchange of Singapore). The principal activity of the Manager is the management of real estate investment trusts. There has been no significant change in the nature of this activity during the financial year.

PRINCIPAL ACTIVITIES OF THE TRUST

UOA REIT is a Malaysia-domiciled real estate investment trust constituted under a Deed dated 28 November 2005 ("Deed") by UOA Asset Management Sdn Bhd ("Manager") and RHB Trustees Berhad ("Trustee").

UOA REIT commenced its operations on 1 December 2005 and was listed on the Main Market of Bursa Malaysia Securities Berhad on 30 December 2005. The principal activity of UOA REIT is to invest in a diversified portfolio of real estate and real estate-related assets used, or predominantly used, for commercial purposes, whether directly or indirectly through the ownership of single-purpose companies, who wholly own real estate with the objective of achieving a stable return from rental income and long-term capital growth. There has been no significant change in the nature of this activity during the financial year.

UOA REIT will continue its operations until such time as determined by the Trustee and the Manager as provided under Clause 26 of the Deed.

The principal activity of the subsidiary company is disclosed in Note 7 to the Financial Statements.

INVESTMENT STRATEGIES

During the financial year, the Manager continued to adopt the following strategies in achieving the Group's investment objective:

Operating strategy

The Group's operating strategy is to continue to enhance the performance of the properties by increasing yields and returns from the properties through a combination of retaining existing tenants, reducing vacancy levels, adding and/or optimising retail/office space at the properties and minimising interruptions in rental income and operational costs. The Manager expects to apply the following key operating and management principles:

(a) to optimise rental rates via active management of tenancies, renewals and new tenancies;
(b) maintaining a close relationship with tenants to optimise tenant retentions;
(c) actively working with the property manager to pursue new tenancy opportunities;
(d) to optimise tenant mix and space configuration;
(e) continuous review of tenant mix and if practicable, reconfigure lettable space; and
(f) continually maintain the quality of the properties.

INVESTMENT STRATEGIES (Continued)

During the financial year, the Manager continued to adopt the following strategies in achieving the Group's investment objective (Continued):

Acquisition strategy

The Manager seeks to increase cash flow and enhance unit value through selective acquisitions. The acquisition strategy takes into consideration:

(a) location;
(b) occupancy and tenant mix;
(c) building and facilities specifications;
(d) opportunities; and
(e) yield thresholds.

The Manager has access to a network of and good relationships with leading participants in the real estate industry which may assist the Group in identifying (a) acquisition opportunities that have favourable returns on invested capital and growth in cash flow; and (b) under-performing assets. The Manager believes that these deal-sourcing capabilities are an important competitive advantage of the Group.

The Manager intends to capitalise on the relationship with UOA Holdings Group of companies, which is one of Malaysia's leading property development, property investment, property management services and construction group of companies. This relationship is expected to accord the Group competitive advantages and benefits towards achieving its long-term objectives.

The Manager intends to hold the properties on a long-term basis. In the future where the Manager considers that any property has reached a stage that offers only limited scope for growth, they may consider selling the property and using the proceeds from the sale for alternative investments in properties that meet its investment criteria.

Capital management strategy

The Manager aims to optimise the Group's capital structure and cost of capital within the borrowing limits prescribed by the Securities Commission's Guidelines on Listed Real Estate Investment Trusts ("REIT Guidelines") and intends to use a combination of debt and equity funding for future acquisitions and improvement works at the properties. Our capital management strategies involve:

(a) adopting and maintaining an optimal gearing level; and
(b) adopting an active interest rate management strategy to manage risks associated with changes in interest rates.

while maintaining flexibility in the Group's capital structure to meet future investment and/or capital requirements.

INVESTMENT POLICIES

Portfolio composition

The Group's investments may be allocated in the following manner, as prescribed by the REIT Guidelines:

(a) to invest in real estate, single-purpose companies whose principal assets comprise real estate, real estate-related assets, non-real estate-related assets or liquid assets;
(b) at least 50% of the Group's total assets must be invested in real estate or single-purpose companies whose principal assets comprise real estate, at all times; and
(c) not more than 25% of the Group's total assets may be invested in non-real estate-related assets and/or liquid assets.

Diversification

The Group will seek to diversify its real estate portfolio by property and location type. The Group will focus on investing in properties that are primarily used for office, retail and/or residential purposes and will continue to look for opportunities in these types of properties. In addition, it may also look into other properties that will provide attractive risk-adjusted returns.

INVESTMENT POLICIES (Continued)

Leverage

The Group will be able to leverage on its borrowings to make the permitted investments. Leveraging on its borrowings will increase the returns to unitholders. The Group is permitted to procure borrowings of up to 50% of its total asset value.

DISTRIBUTION POLICY

At least 90% of the distributable income of the Trust will be distributed semi-annually or at such other intervals as determined by the Manager, in arrears.

PERFORMANCE OF THE GROUP

	As at 31 December 2019	As at 31 December 2018	As at 31 December 2017	As at 31 December 2016	As at 31 December 2015
Total net asset value (RM'000)	**706,555**	725,242	706,314	704,591	699,277
Units in circulation ('000)	**422,872**	422,872	422,872	422,872	422,872
Net asset value per unit (RM)	**1.671**	1.715	1.670	1.666	1.654
Highest net asset value per unit (RM)	**1.719**	1.727	1.670	1.666	1.654
Lowest net asset value per unit (RM)	**1.671**	1.671	1.667	1.654	1.503
Market price per unit (RM)	**1.23**	1.31	1.62	1.76	1.60
Highest traded price for the financial year (RM)	**1.46**	1.64	1.91	1.87	1.75
Lowest traded price for the financial year (RM)	**1.20**	1.29	1.60	1.56	1.41

OPERATING RESULTS OF THE GROUP

	As at 31 December 2019 RM'000	As at 31 December 2018 RM'000	As at 31 December 2017 RM'000	As at 31 December 2016 RM'000	As at 31 December 2015 RM'000
Total gross income	**79,032**	78,586	82,349	89,731	91,935
Property operating expenses	**20,806**	20,944	22,514	22,884	22,575
Non-property expenses	**5,621**	6,690	5,346	5,324	5,227
Finance costs	**11,770**	15,837	16,479	16,305	16,613
Income before tax, fair value gain on investment properties and net changes on financial liabilities measured at amortised cost	**40,835**	35,115	38,010	45,218	47,520
Fair value gain on investment properties	**-**	22,570	-	-	64,129
Net changes on financial liabilities measured at amortised cost	**152**	(35)	(133)	(164)	50
Income before tax	**40,987**	57,650	37,877	45,054	111,699
Tax (expense)/income	**(21,151)**	(113)	-	4,578	(1,381)
Income after tax	**19,836**	57,537	37,877	49,632	110,318

OPERATING RESULTS OF THE GROUP (Continued)

The total gross income for the financial year ended 31 December 2019 comprises rental income of RM78,734,487 (2018: RM78,200,304), interest income of RM60,185 (2018: RM120,536) and other income of RM237,339 (2018: RM264,813). Total gross income for the financial year was 0.57% higher than the previous financial year.

Realised income before tax for the financial year was RM40,835,144 (2018: RM35,115,406), which was an increase of 16.29% over the previous financial year mainly due to lower borrowing costs.

The income after tax for the financial year ended 31 December 2019 was at RM19,836,187 (2018: RM57,536,772). The current financial year's income after tax included the deferred tax liability for real property gain tax for UOA REIT's investment properties. The previous financial year's income after tax included fair value gain for UOA REIT's investment properties.

INCOME DISTRIBUTION

The Trust had on 30 August 2019 paid an interim distribution of 4.24 sen per unit totaling RM17,929,763 for the six months ended 30 June 2019.

The Manager had on 22 January 2020, recommended to the Trustee, and the Trustee had on 22 January 2020, approved the final income distribution of 4.87 sen per unit totaling RM20,593,855 for the financial year ended 31 December 2019 to be paid by 28 February 2020 ("Final Distribution"). The Final Distribution comprises taxable income of approximately 4.87 sen per unit.

The total distribution for the financial year ended 31 December 2019 is 9.11 sen per unit, a decrease of approximately 0.22% or 0.02 sen per unit as compared to the previous financial year.

An analysis of the Trust's income distribution is as follows:

	As at 31 December 2019	As at 31 December 2018	As at 31 December 2017	As at 31 December 2016	As at 31 December 2015
Distribution per unit (sen)					
- interim	**4.24**	4.04	4.18	5.22	5.32
- final	**4.87**	5.09	4.37	5.26	5.70
- total	**9.11**	9.13	8.55	10.48	11.02
Distribution payment date					
- interim	**30/8/2019**	30/8/2018	30/8/2017	30/8/2016	28/8/2015
- final	**28/2/2020**	28/2/2019	28/2/2018	28/2/2017	29/2/2016
Distribution yield based on issued price of RM1.15 per unit (%)	**7.92**	7.94	7.43	9.11	9.58
Distribution yield based on market price at 31 December (%)	**7.41**	6.97	5.28	5.95	6.89
Market price as at 31 December (RM)	**1.23**	1.31	1.62	1.76	1.60

BENCHMARKS RELEVANT TO THE REIT

	As at 31 December 2019	As at 31 December 2018	As at 31 December 2017	As at 31 December 2016	As at 31 December 2015
Management expense ratio ("MER") (%)*	**0.78**	0.93	0.76	0.76	0.81
Portfolio turnover ratio ("PTR") (times)**	**-**	0.0816	-	-	-

* MER is calculated based on the total administrative expenses incurred by the Group divided by the average value of the Group fund for the financial year calculated on a quarterly basis.

** PTR is the ratio of the average sum of acquisition and disposal of the Group for the financial year to the average value of the Group fund for the financial year calculated on weekly basis.

As the basis of calculation may vary among real estate investment trusts, no accurate comparison can be made between UOA REIT's MER and PTR, with other real estate investment trusts.

COMPOSITION OF INVESTMENT PORTFOLIO

As at 31 December 2019, the Group's composition of investment portfolio was as follows:

	RM'000	%
Real estate properties		
• UOA Centre Parcels	85,100	8.19
• UOA II Parcels	294,000	28.30
• UOA Damansara Parcels	121,000	11.65
• Wisma UOA Damansara II	236,140	22.73
• Parcel B – Menara UOA Bangsar	300,000	28.88
Liquid assets		
• Deposits with licensed financial institutions	1,000	0.10
• Bank balances	1,609	0.15
	1,038,849	100.00

COMPOSITION OF INVESTMENT PORTFOLIO (Continued)

The details of the real estate properties as at 31 December 2019 are as follows:

UOA Centre Parcels

Address/Location
Within UOA Centre at No. 19,
Jalan Pinang, 50450 Kuala Lumpur

Description
Parcels within the thirty-three (33) storey office building known as UOA Centre inclusive of six (6) levels of car park space

Title details
Twenty-eight (28) strata titles within UOA Centre identified as Bangunan M1, held under Master Title Geran 46212, Lot No. 1312, Section 57, Town and District of Kuala Lumpur, State of Wilayah Persekutuan KL

Property type
Office parcels

Net lettable area
123,957 sq.ft.

Age
Approximately 25 years

Existing use
Commercial

Status of holding
Freehold

Major tenants (based on monthly rental receivable)
(a) Bank Kerjasama Rakyat Malaysia Bhd
(b) United Carparks Sdn Bhd
(c) Halim Hong & Quek

Occupancy rate (based on secured tenancies)
81.4%

Rental received/receivable
RM6,150,683

Maintenance costs and capital expenditure
Maintenance costs amount to RM1,924,022. No capital expenditure incurred during the financial year

Encumbrances
Charged to a financial institution as security for revolving credit facilities

Date of acquisition
29 November 2005

Cost of acquisition
RM55,981,272

Last valuation
RM85,100,000

Date of last valuation
31 December 2018

Basis of valuation
Comparison and Income Approach

Independent valuer
PPC International Sdn Bhd

Net carrying amount
RM85,100,000

COMPOSITION OF INVESTMENT PORTFOLIO (Continued)

The details of the real estate properties as at 31 December 2019 are as follows (Continued):

UOA II Parcels

Address/Location
Within UOA II at No. 21,
Jalan Pinang, 50450 Kuala Lumpur

Description
Parcels within the thirty-nine (39) storey office building known as UOA II inclusive of five (5) levels of car park space

Title details
Sixty-eight (68) strata titles within UOA II identified as Bangunan M2, held under Master Title Geran 46212, Lot No. 1312, Section 57, Town and District of Kuala Lumpur, State of Wilayah Persekutuan KL

Property type
Office parcels

Net lettable area
427,340 sq.ft.

Age
Approximately 21 years

Existing use
Commercial

Status of holding
Freehold

Major tenants (based on monthly rental receivable)
(a) Envico Enterprises Sdn Bhd
(b) United Carparks Sdn Bhd
(c) Sabah International Petroleum Sdn Bhd

Occupancy rate (based on secured tenancies)
81.9%

Rental received/receivable
RM20,177,471

Maintenance costs and capital expenditure
Maintenance costs amount to RM4,469,242. No capital expenditure incurred during the financial year

Encumbrances
Charged to a financial institution as security for revolving credit facilities (There are no encumbrances on Level 17, UOA II)

Date of acquisition
29 November 2005
(Excluding Level 17, UOA II)
22 March 2010 (Level 17, UOA II)

Cost of acquisition
RM194,502,300

Last valuation
RM294,000,000

Date of last valuation
31 December 2018

Basis of valuation
Comparison and Income Approach

Independent valuer
PPC International Sdn Bhd

Net carrying amount
RM294,000,000

COMPOSITION OF INVESTMENT PORTFOLIO (Continued)

The details of the real estate properties as at 31 December 2019 are as follows (Continued):

UOA Damansara Parcels

Address/Location
Within UOA Damansara at No. 50, Jalan Dungun, Damansara Heights, 50490 Kuala Lumpur

Description
Parcels within the thirteen (13) storey office building known as UOA Damansara inclusive of four (4) levels of basement car park space

Title details
Thirty (30) strata titles within UOA Damansara identified as Bangunan M1, held under Master Title Geran 67371, Lot No. 55917, Mukim and District of Kuala Lumpur, State of Wilayah Persekutuan KL

Property type
Office parcels

Net lettable area
186,395 sq.ft.

Age
Approximately 22 years

Existing use
Commercial

Status of holding
Freehold

Major tenants (based on monthly rental receivable)
(a) Skrine
(b) United Carparks Sdn Bhd
(c) Kerajaan Malaysia

Occupancy rate (based on secured tenancies)
95.7%

Rental received/receivable
RM10,013,113

Maintenance costs and capital expenditure
Maintenance costs amount to RM2,939,563. No capital expenditure incurred during the financial year.

Encumbrances
Charged to a financial institution as security for revolving credit facilities

Date of acquisition
29 November 2005

Cost of acquisition
RM72,000,000

Last valuation
RM121,000,000

Date of last valuation
31 December 2018

Basis of valuation
Comparison and Income Approach

Independent valuer
PPC International Sdn Bhd

Net carrying amount
RM121,000,000

COMPOSITION OF INVESTMENT PORTFOLIO (Continued)

The details of the real estate properties as at 31 December 2019 are as follows (Continued):

Wisma UOA Damansara II

Address/Location
No. 6, Changkat Semantan, Damansara Heights, 50490 Kuala Lumpur

Description
A sixteen (16) storey office building with 3 levels of elevated car park space and 5 levels of basement car park space

Title details
Geran 6837, Lot No. 38415,
Mukim and District of Kuala Lumpur, State of Wilayah Persekutuan KL

Property type
Commercial building

Net lettable area
291,133 sq.ft.

Age
Approximately 12 years

Existing use
Commercial

Status of holding
Freehold

Major tenants (based on monthly rental receivable)
(a) Radimax Group Sdn Bhd
(b) United Carparks Sdn Bhd
(c) Synthomer Sdn Bhd

Occupancy rate (based on secured tenancies)
99.3%

Rental received/receivable
RM16,336,749

Maintenance costs and capital expenditure
Maintenance costs amount to RM3,291,224. Capital expenditure of RM1,140,241 was incurred during the financial year to enhance the property

Encumbrances
Charged to a financial institution as security for revolving credit facilities

Date of acquisition
17 January 2011

Cost of acquisition
RM211,000,000

Last valuation
RM235,000,000

Date of last valuation
31 December 2018

Basis of valuation
Comparison and Income Approach

Independent valuer
PPC International Sdn Bhd

Net carrying amount
RM236,140,241

COMPOSITION OF INVESTMENT PORTFOLIO (Continued)

The details of the real estate properties as at 31 December 2019 are as follows (Continued):

Parcel B – Menara UOA Bangsar

Address/Location
Within Menara UOA Bangsar
No. 5, Jalan Bangsar Utama 1, 59000 Kuala Lumpur

Description
A tower block, namely Tower B comprising fifteen (15) levels of office space, three (3) levels of retail podium, six (6) levels of elevated car park space and four (4) levels of basement car park space (which form part of a development known as Menara UOA Bangsar)

Title details
Fourteen (14) strata titled within Menara UOA Bangsar, identified as Bangunan M1 and M1-A, held under Master Title Pajakan Negeri (WP) 43411, Lot No. 421, Section 96, Town and District of Kuala Lumpur, State of Wilayah Persekutuan KL

Property type
Commercial building

Net lettable area
310,393 sq.ft.

Age
Approximately 11 years

Existing use
Commercial

Status of holding
99 years leasehold expiring in 2106 (unexpired term of approximately 89 years)

Major tenants (based on monthly rental receivable)
(a) Perbadanan Harta Intelek Malaysia
(b) United Carparks Sdn Bhd
(c) Prasarana Malaysia Berhad

Occupancy rate (based on secured tenancies)
99.3%

Rental received/receivable
RM26,056,471

Maintenance costs and capital expenditure
Maintenance costs amount to RM5,713,423. No capital expenditure incurred during the financial year.

Encumbrances
Charged to a financial institution as security for revolving credit facilities (There are no encumbrances on Petak 9 and 14, MUB)

Date of acquisition
17 January 2011

Cost of acquisition
RM289,000,000

Last valuation
RM300,000,000

Date of last valuation
31 December 2018

Basis of valuation
Comparison and Income Approach

Independent valuer
PPC International Sdn Bhd

Net carrying amount
RM300,000,000

GEARING

Pursuant to the REIT Guidelines, the permitted limit on gearing ratio of real estate investment trusts is 50%.

As at 31 December 2019, the Group has total borrowings of RM274,800,000 representing a gearing ratio of 26.3% (2018: 26.4%). The debts are in the form of revolving credits and are short term in nature, renewable on a one (1) to six (6) months term at interest/profit rates as disclosed in Note 14 to the Financial Statements. Total credit facilities available to the Trust amount to RM408,400,000 and there are unutilised facilities of RM133,600,000 as at the end of the financial year.

As at 31 December 2019, the Group has the capacity to raise its borrowings by an additional RM115,012,835 before reaching the 50% limit permitted under the REIT Guidelines.

UNITS IN ISSUE

	As at 31 December 2019	As at 31 December 2018	As at 31 December 2017	As at 31 December 2016	As at 31 December 2015
Number of units in issue	**422,871,776**	422,871,776	422,871,776	422,871,776	422,871,776

NET ASSET VALUE ("NAV") OF THE GROUP

	As at 31 December 2019	As at 31 December 2018	As at 31 December 2017	As at 31 December 2016	As at 31 December 2015
NAV (RM'000)	**706,555**	725,242	706,314	704,591	699,277
NAV per unit					
- before distribution (RM)	**1.720**	1.766	1.714	1.719	1.711
- after distribution (RM) *	**1.671**	1.715	1.670	1.666	1.654

* NAV per unit is posted on Bursa Malaysia's website on a quarterly basis.

PROSPECTS

The Manager will continue to actively manage the portfolio of properties to maximise the yield for unitholders.

Meanwhile, the Manager will continue to source for opportune acquisitions that meet the objectives of UOA REIT.

The Manager's fees are disclosed in Note 19 to the Financial Statements.

SOFT COMMISSION

During the financial year, the Manager did not receive any soft commission from its broker, by virtue of transactions conducted by the Group.

CONFLICT OF INTEREST

None of the Directors and employees of the Manager have any conflict of interest with the Group and the Trust.

BOARD OF DIRECTORS OF THE MANAGER ("DIRECTORS")

Directors	Date of appointment
Dato' Gan Boon Khuay	16 November 2005
Alan Charles Winduss	28 November 2005
Kung Beng Hong	28 November 2005
Kong Sze Choon	14 January 2011
Yap Kang Beng	18 March 2016

DIRECTORS' BENEFITS

Neither at the end of the financial year, nor at any time during that financial year, did there exist any arrangement to which UOA Asset Management Sdn Bhd was a party, whereby Directors of the Manager might acquire benefits by means of the acquisition of units in or debentures of the Trust or any other body corporate.

During the financial year under review, no Director of the Manager has received or become entitled to receive any benefit by reason of a contract made by UOA Asset Management Sdn Bhd or a related corporation, with any director or with a firm of which he is a member, or with a company or a related corporation, in which he has a substantial financial interest, except as disclosed in Note 27 to the Financial Statements.

DIRECTORS' INTEREST

	Number of units			
	As at 1 January 2019	Acquired	Disposed	As at 31 December 2019
Direct interest				
Alan Charles Winduss	100,000	-	-	100,000
Dato' Gan Boon Khuay	100,000	-	-	100,000
Kung Beng Hong	100,000	-	-	100,000
Kong Sze Choon	39,000	-	-	39,000
Indirect interest				
Kong Sze Choon *	24,000	-	-	24,000

* By virtue of his interest in the shares of Global Transact Sdn Bhd.

During and at the end of financial year, there was no material contract entered into involving any Directors and major unitholders, except for any contracts arising from transactions disclosed in Note 27 to the Financial Statements.

INDEMNITY AND INSURANCE COST

There was no indemnity coverage and insurance premium paid for Directors of the Trust during the financial year.

OTHER STATUTORY INFORMATION

Before the financial statements of the Group and of the Trust were made out, the Directors took reasonable steps:

(a) to ascertain that proper action had been taken in relation to the writing off of bad debts and the allowance for doubtful debts, and satisfied themselves that adequate allowance had been made for doubtful debts and all known bad debts had been written off; and

(b) to ensure that any current assets which were unlikely to be realised in the ordinary course of business including their values as shown in the accounting records of the Group and of the Trust have been written down to an amount which they might be expected so to realise.

At the date of this report, the Directors are not aware of any circumstances:

(a) which would render the amount written off for bad debts or the amount of the allowance for doubtful debts in the financial statements of the Group and of the Trust inadequate to any substantial extent; or

(b) which would render the values attributed to current assets in the financial statements of the Group and of the Trust misleading; or

(c) which have arisen which would render adherence to the existing method of valuation of assets or liabilities of the Group and of the Trust misleading or inappropriate; or

(d) not otherwise dealt with in this report or the financial statements which would render any amount stated in the financial statements misleading.

At the date of this report, there does not exist:

(a) any charge on the assets of the Group and of the Trust which has arisen since the end of the financial year which secures the liability of any other person; or

(b) any contingent liability of the Group and of the Trust which has arisen since the end of the financial year.

In the opinion of the Directors:

(a) no contingent liability or other liability of the Group and of the Trust has become enforceable or is likely to become enforceable within the period of twelve months after the end of the financial year which will or may affect the ability of the Group and of the Trust to meet their obligations as and when they fall due;

(b) the results of the operations of the Group and of the Trust during the financial year were not substantially affected by any item, transaction or event of a material and unusual nature; and

(c) there has not arisen in the interval between the end of the financial year and the date of this report any item, transaction or event of a material and unusual nature likely to affect substantially the results of the operations of the Group and of the Trust for the financial year in which this report is made.

EVENTS DURING THE FINANCIAL YEAR AND AFTER THE REPORTING PERIOD

The events during the financial year and after the reporting period are disclosed in Note 33 to the Financial Statements.

AUDITORS

The total amount of fees paid to or receivable by the Auditors, Messrs Grant Thornton Malaysia PLT, as remuneration for their services as auditors of the Group and of the Trust for the financial year ended 31 December 2019 are amounted to RM49,000 and RM45,000 respectively.

There was no indemnity given to or insurance effected for the auditors of the Group and its subsidiary company.

The Auditors, Messrs Grant Thornton Malaysia PLT have expressed their willingness to continue in office.

Signed on behalf of the Board of Directors of UOA Asset Management Sdn Bhd in accordance with a resolution of the Board of Directors.

For and on behalf of the Manager,
UOA Asset Management Sdn Bhd

KONG SZE CHOON
DIRECTOR

ALAN CHARLES WINDUSS
DIRECTOR

Kuala Lumpur
14 February 2020

Statement By Manager

We, Kong Sze Choon and Alan Charles Winduss, being two of the Directors of UOA Asset Management Sdn Bhd ("the Manager"), do hereby state that, in the opinion of the Directors, the financial statements set out on pages 57 to 93 are drawn up so as to give a true and fair view of the financial position of the Group and of the Trust as at 31 December 2019 and financial performance and cash flows of the Group and of the Trust for the financial year then ended in accordance with Malaysian Financial Reporting Standards, International Financial Reporting Standards, Securities Commission's Guidelines on Listed Real Estate Investment Trusts and the provisions of the Deed dated 28 November 2005.

Signed on behalf of the Board of Directors of UOA Asset Management Sdn Bhd in accordance with a resolution of the Board of Directors.

For and on behalf of the Manager,
UOA Asset Management Sdn Bhd

KONG SZE CHOON
DIRECTOR

ALAN CHARLES WINDUSS
DIRECTOR

Kuala Lumpur
14 February 2020

Statutory Declaration

I, Kong Sze Choon, being the Director of UOA Asset Management Sdn Bhd primarily responsible for the financial management of UOA Real Estate Investment Trust, do solemnly and sincerely declare that to the best of my knowledge and belief, the financial statements set out on pages 57 to 93 are correct, and I make this solemn declaration conscientiously believing the same to be true and by virtue of the Statutory Declarations Act 1960.

Subscribed and solemnly declared by)
the abovenamed at Kuala Lumpur in the)
Federal Territory this day of)
14 February 2020) ....

KONG SZE CHOON

Before me:

Commissioner for Oaths

Trustees' Report To The Unitholders Of UOA Real Estate Investment Trust

(Established in Malaysia)

We have acted as Trustee of UOA Real Estate Investment Trust for the financial year ended 31 December 2019. In our opinion and to the best of our knowledge, UOA Asset Management Sdn Bhd, the Manager, has managed UOA Real Estate Investment Trust ("Trust") in accordance with the limitations imposed on the investment powers of the Manager and the Trustee under the Deed dated 28 November 2005, other provisions of the Deed, the Capital Markets and Services Act, 2007, the Securities Commission's Guidelines on Listed Real Estate Investment Trusts and other applicable laws during the financial year then ended.

We have ensured that the procedures and processes employed by UOA Asset Management Sdn Bhd to value and price the units of the Trust are adequate and that such valuation/pricing is carried out in accordance with the Deed and other regulatory requirements.

We also confirm that the income distributions declared and paid during the financial year ended 31 December 2019 are in line with and are reflective of the objectives of the Trust. Two distributions have been declared for the financial year ended 31 December 2019 as follows:

(a) Interim income distribution of 4.24 sen per unit paid on 30 August 2019; and

(b) Final income distribution of 4.87 sen per unit to be paid on 28 February 2020.

For and on behalf of the Trustee,
RHB Trustees Berhad
(Company No.: 200201005356 (573019-U))

TONY CHIENG SIONG UNG
DIRECTOR

Kuala Lumpur
14 February 2020

Independent Auditors' Report To The Unitholders Of UOA Real Estate Investment Trust

(Established in Malaysia)

Report on the Audit of the Financial Statements

Opinion

We have audited the financial statements of UOA Real Estate Investment Trust ("UOA REIT" or "Trust"), which comprise the statements of financial position as at 31 December 2019 of the Group and of the Trust, and the statements of profit or loss and other comprehensive income, statements of changes in net asset value and statements of cash flows of the Group and of the Trust for the financial year then ended, and notes to the financial statements, including a summary of significant accounting policies, as set out on pages 57 to 93.

In our opinion, the accompanying financial statements give a true and fair view of the financial position of the Group and of the Trust as at 31 December 2019, and of their financial performance and cash flows for the financial year then ended in accordance with Malaysian Financial Reporting Standards ("MFRS"), International Financial Reporting Standards ("IFRS"), the Securities Commission's Guidelines on Listed Real Estate Investment Trusts ("REIT Guidelines") and the provisions of the Deed dated 28 November 2005 ("Deed").

Basis for Opinion

We conducted our audit in accordance with approved standards on auditing in Malaysia and International Standards on Auditing. Our responsibilities under those standards are further described in the Auditors' Responsibilities for the Audit of the Financial Statements section of our report. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Independence and Other Ethical Responsibilities

We are independent of the Group and of the Trust in accordance with the By-Laws (on Professional Ethics, Conduct and Practice) of the Malaysian Institute of Accountants ("By-Laws") and the International Ethics Standards Board for Accountants' Code of Ethics for Professional Accountants ("IESBA Code"), and we have fulfilled our other ethical responsibilities in accordance with the By-Laws and the IESBA Code.

Key Audit Matters

Key audit matters are those matters that, in our professional judgement, were of most significance in our audit of the financial statements of the Group and of the Trust for the current financial year. These matters were addressed in the context of our audit of the financial statements of the Group and of the Trust as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

Report on the Audit of the Financial Statements (Continued)

Key Audit Matters (Continued)

Valuation of Investment Properties

As disclosed in Note 6 to the Financial Statements, the Group's and the Trust's investment properties that were carried at fair value amounted to RM1,036,240,241 and RM1,027,363,283 respectively as at 31 December 2019.

The investment properties are stated at fair value based on independent professional valuation using the comparison and income method. We focused on this due to the magnitude of the balance and the complexities in determining the fair value of the investment properties, which involves significant judgement and estimation that could result in material misstatement.

Audit responses

Our audit procedures performed include:

1. Evaluated the competency, capabilities and objectivity of the independent valuer.
2. Performed site visits to major properties.
3. Checked the accuracy and relevance of the input data used in the valuations.
4. Evaluated and challenged the key assumptions used in the valuations.

Information Other than the Financial Statements and Auditors' Report Thereon

The Manager is responsible for the other information. The other information comprise the information included in the annual report, but does not include the financial statements of the Group and of the Trust and our auditors' report thereon.

Our opinion on the financial statements of the Group and of the Trust does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements of the Group and of the Trust, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements of the Group and of the Trust or our knowledge obtained in the audit or otherwise appears to be materially misstated.

If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Independent Auditors' Report To The Unitholders Of UOA Real Estate Investment Trust
(Established in Malaysia) (Continued)

Report on the Audit of the Financial Statements (Continued)

Responsibilities of the Manager for the Financial Statements

The Manager is responsible for the preparation of financial statements of the Group and of the Trust that give a true and fair view in accordance with Malaysian Financial Reporting Standards ("MFRS"), International Financial Reporting Standards ("IFRS"), the Securities Commission's Guidelines on Listed Real Estate Investment Trusts ("REIT Guidelines") and the provisions of the Deed dated 28 November 2005 ("Deed"). The Manager is also responsible for such internal control as the Manager determine is necessary to enable the preparation of financial statements of the Group and of the Trust that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements of the Group and of the Trust, the Manager is responsible for assessing the Group's and the Trust's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the Manager either intends to liquidate the Group or the Trust or to cease operations, or have no realistic alternative but to do so.

Auditors' Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements of the Group and of the Trust as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with approved standards on auditing in Malaysia and International Standards on Auditing will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with the approved standards on auditing in Malaysia and International Standards on Auditing, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements of the Group and of the Trust, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's and of the Trust's internal control.

Report on the Audit of the Financial Statements (Continued)

Auditors' Responsibilities for the Audit of the Financial Statements (Continued)

We also (Continued):

- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the Manager.

- Conclude on the appropriateness of the Manager's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's or the Trust's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditors' report to the related disclosures in the financial statements of the Group and of the Trust or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditors' report. However, future events or conditions may cause the Group or the Trust to cease to continue as a going concern.

- Evaluate the overall presentation, structure and content of the financial statements of the Group and of the Trust, including the disclosures, and whether the financial statements of the Group and of the Trust represent the underlying transactions and events in a manner that achieves fair presentation.

- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the financial statements of the Group. We are responsible for the direction, supervision and performance of the group audit. We remain solely responsible for our audit opinion.

We communicate with the Manager regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide with the Manager with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with the Manager, we determine those matters that were of most significance in the audit of the financial statements of the Group and of the Trust for the current year and are therefore the key audit matters. We describe these matters in our auditors' report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Independent Auditors' Report To The Unitholders Of UOA Real Estate Investment Trust
(Established in Malaysia) (Continued)

Other Matters

This report is made solely to the unitholders of the Trust, as a body, in accordance with the REIT Guidelines in Malaysia and for no other purpose. We do not assume responsibility to any other person for the content of this report.

GRANT THORNTON MALAYSIA PLT
(201906003682 & AF 0737)
CHARTERED ACCOUNTANTS

LIM SOO SIM
(NO: 03335/11/2021 J)
CHARTERED ACCOUNTANT

Kuala Lumpur
14 February 2020

Statements Of Financial Position

As At 31 December 2019

	Note	Group 2019 RM	Group 2018 RM	Trust 2019 RM	Trust 2018 RM
ASSETS					
Non-current assets					
Plant and equipment	5	**239,913**	102,292	**239,913**	102,292
Investment properties	6	**1,036,240,241**	1,035,100,000	**1,027,363,283**	1,030,600,000
Investment in a subsidiary company	7	**-**	-	**2**	2
Total non-current assets		**1,036,480,154**	1,035,202,292	**1,027,603,198**	1,030,702,294
Current assets					
Trade receivables	8	**1,215,604**	2,185,485	**1,205,770**	2,170,969
Other receivables	9	**6,521,194**	8,787,406	**6,521,194**	8,787,406
Amount owing by a subsidiary company	10	**-**	-	**12,603,502**	7,927,862
Deposits with licensed financial institutions	11	**1,000,000**	1,700,000	**750,000**	1,700,000
Bank balances		**1,608,717**	1,620,596	**1,383,194**	1,594,772
Total current assets		**10,345,515**	14,293,487	**22,463,660**	22,181,009
Total assets		**1,046,825,669**	1,049,495,779	**1,050,066,858**	1,052,883,303
LIABILITIES					
Non-current liabilities					
Other payables	12	**9,650,696**	10,026,518	**9,495,514**	10,026,518
Deferred tax liabilities	13	**19,776,000**	-	**19,776,000**	-
Total non-current liabilities		**29,426,696**	10,026,518	**29,271,514**	10,026,518
Current liabilities					
Other payables	12	**15,420,340**	15,400,929	**15,383,682**	15,917,661
Bank borrowings	14	**274,800,000**	277,300,000	**274,800,000**	277,300,000
Provision for income distribution	15	**20,593,855**	21,524,173	**20,593,855**	21,524,173
Tax payable		**30,050**	2,000	**-**	-
Total current liabilities		**310,844,245**	314,227,102	**310,777,537**	314,741,834
Total liabilities		**340,270,941**	324,253,620	**340,049,051**	324,768,352
Net asset value		**706,554,728**	725,242,159	**710,017,807**	728,114,951
UNITHOLDERS' FUND					
Unitholders' capital	16	**476,062,161**	476,062,161	**476,062,161**	476,062,161
Undistributed income		**230,492,567**	249,179,998	**233,955,646**	252,052,790
Distribution to unitholders		**706,554,728**	725,242,159	**710,017,807**	728,114,951
Number of units in circulation		**422,871,776**	422,871,776	**422,871,776**	422,871,776
Net asset value					
- Before income distribution		**727,148,583**	746,766,332	**730,611,662**	749,639,124
- After income distribution		**706,554,728**	725,242,159	**710,017,807**	728,114,951
Net asset value per unit					
- Before income distribution		**1.720**	1.766	**1.728**	1.773
- After income distribution		**1.671**	1.715	**1.679**	1.722

The accompanying notes form an integral part of the financial statements.

Statements Of Profit Or Loss and Other Comprehensive Income

For The Financial Year Ended 31 December 2019

	Note	Group		Trust	
		2019 RM	2018 RM	2019 RM	2018 RM
INCOME					
Gross rental	17	**78,734,487**	78,200,304	**78,196,742**	78,176,804
Property operating expenses	18	**(20,806,068)**	(20,943,586)	**(20,595,362)**	(20,923,283)
Net rental income		**57,928,419**	57,256,718	**57,601,380**	57,253,521
Interest income		**60,185**	120,536	**58,296**	112,015
Other income		**237,339**	264,813	**1,059,009**	1,857,305
Total income		**58,225,943**	57,642,067	**58,718,685**	59,222,841
EXPENSES					
Manager's fees	19	**4,878,712**	4,885,451	**4,878,712**	4,885,451
Trustee's fee	20	**218,450**	218,752	**218,450**	218,752
Auditors' remuneration		**48,820**	45,000	**44,700**	43,000
Tax agent's fees		**21,333**	21,955	**19,640**	21,000
Valuation fees		**50,540**	209,500	**45,982**	209,500
Administration expenses		**402,631**	1,309,120	**395,769**	278,977
Finance costs	21	**11,770,313**	15,836,883	**11,770,313**	15,836,883
Total expenses		**17,390,799**	22,526,661	**17,373,566**	21,493,563
Fair value gain on investment properties		**-**	22,569,944	**-**	22,817,292
Net changes on financial liabilities measured at amortised cost		**151,773**	(35,435)	**151,773**	(35,435)
Income before tax		**40,986,917**	57,649,915	**41,496,892**	60,511,135
Tax expense	22	**(21,150,730)**	(113,143)	**(21,070,418)**	(111,143)
Net income/Total comprehensive income during the financial year		**19,836,187**	57,536,772	**20,426,474**	60,399,992
Net income/Total comprehensive income is made up as follows:					
- Realised		**39,540,726**	35,004,263	**40,050,701**	37,618,135
- Unrealised		**(19,704,539)**	22,532,509	**(19,624,227)**	22,781,857
		19,836,187	57,536,772	**20,426,474**	60,399,992

	Note	Group		Trust	
		2019 RM	2018 RM	2019 RM	2018 RM
Earnings per unit	23				
- After Manager's fees (sen)		**4.69**	13.61	**4.83**	14.28
- Before Manager's fees (sen)		**5.84**	14.76	**5.98**	15.44
Net income distribution					
- Interim distribution of 4.24 sen (2018: 4.04 sen) paid on 30 August 2019 (2018: 30 August 2018)		**17,929,763**	17,084,018	**17,929,763**	17,084,018
- Proposed final distribution of 4.87 sen (2018: 5.09 sen) payable on 28 February 2020 (2018: 28 February 2019)		**20,593,855**	21,524,173	**20,593,855**	21,524,173
		38,523,618	38,608,191	**38,523,618**	38,608,191
Interim income distribution per unit *					
- Gross (sen)		**4.24**	4.04	**4.24**	4.04
- Net (sen)		**4.24*** **	4.04	**4.24*** **	4.04
Final income distribution per unit *					
- Gross (sen)		**4.87**	5.09	**4.87**	5.09
- Net (sen) **		**4.87*** **	5.09	**4.87*** **	5.09

* *Based on 422,871,776 (2018: 422,871,776) units entitled to distribution.*

** *Approximately Nil (2018: Nil) out of the 4.87 sen (2018: 5.09 sen) final income distribution per unit is exempted from income tax due to the utilisation of capital allowances from the investment properties of the Trust and the interest income received from financial institutions pursuant to paragraph 35A, Schedule 6 of the Income Tax Act, 1967.*

*** *Pursuant to the amended Section 6(1)(i) of the Income Tax Act, 1967, the following withholding tax rates as stipulated in Part X, Schedule 1 of the Income Tax Act, 1967 will be deducted for distribution of income by the Trust to the following categories of unitholders:*

		Withholding tax rate	
		2019	2018
Resident corporate	#	**-**	-
Resident non-corporate		**10%**	10%
Non-resident individual		**10%**	10%
Non-resident corporate		**24%**	24%
Non-resident institutional		**10%**	10%

 # No withholding tax; to tax at prevailing tax rate

The accompanying notes form an integral part of the financial statements.

Statements Of Changes In Net Asset Value

For The Financial Year Ended 31 December 2019

	Note	Unitholders' capital RM	← Undistributed Income Realised RM	Unrealised RM	Sub-total → RM	Total RM
Group						
Balance as at 1 January 2018		476,062,161	24,001,050	206,250,367	230,251,417	706,313,578
Net income/total comprehensive income for the financial year		-	35,004,263	22,532,509	57,536,772	57,536,772
Realisation upon disposal of investment properties		-	31,436,561	(31,436,561)	-	-
Distribution to unitholders	15	-	(38,608,191)	-	(38,608,191)	(38,608,191)
Balance as at 31 December 2018		476,062,161	51,833,683	197,346,315	249,179,998	725,242,159
Net income/(loss)/Total comprehensive income/(loss) for the financial year		-	39,540,726	(19,704,539)	19,836,187	19,836,187
Distribution to unitholders	15	-	(38,523,618)	-	(38,523,618)	(38,523,618)
Balance as at 31 December 2019		476,062,161	52,850,791	177,641,776	230,492,567	706,554,728
Trust						
Balance as at 1 January 2018		476,062,161	24,010,622	206,250,367	230,260,989	706,323,150
Net income/total comprehensive income for the financial year		-	37,618,135	22,781,857	60,399,992	60,399,992
Realisation upon disposal of investment properties		-	33,689,214	(33,689,214)	-	-
Distribution to unitholders	15	-	(38,608,191)	-	(38,608,191)	(38,608,191)
Balance as at 31 December 2018		476,062,161	56,709,780	195,343,010	252,052,790	728,114,951
Net income/(loss)/Total comprehensive income/(loss) for the financial year		-	40,050,701	(19,624,227)	20,426,474	20,426,474
Distribution to unitholders	15	-	(38,523,618)	-	(38,523,618)	(38,523,618)
Balance as at 31 December 2019		476,062,161	58,236,863	175,718,783	233,955,646	710,017,807

The accompanying notes form an integral part of the financial statements.

Statements Of Cash Flows

For The Financial Year Ended 31 December 2019

	Group		Trust	
	2019 RM	2018 RM	2019 RM	2018 RM
CASH FLOWS FROM OPERATING ACTIVITIES				
Income before tax	**40,986,917**	57,649,915	**41,496,892**	60,511,135
Adjustments for:				
Allowance for expected credit losses	**116,869**	145,693	**116,869**	145,693
Allowance for expected credit losses no longer required	**(67,037)**	(1,005,510)	**(67,037)**	(1,005,510)
Bad debts written off	**1,351**	-	**1,351**	-
Depreciation	**26,671**	14,961	**26,671**	14,961
Fair value gain on investment properties	**-**	(22,569,944)	**-**	(22,817,292)
Loss/(Gain) on disposal of investment properties	**-**	660,160	**(823,042)**	(1,592,492)
Plant and equipment written off	**2,763**	1,286	**2,763**	1,286
Net changes on financial liabilities measured at amortised cost	**(151,773)**	35,435	**(151,773)**	35,435
Interest income	**(60,185)**	(120,536)	**(58,296)**	(112,015)
Interest expense	**11,770,313**	15,836,883	**11,770,313**	15,836,883
Operating profit before working capital changes	**52,625,889**	50,648,343	**52,314,711**	51,018,084
Changes in working capital:				
Receivables	**1,940,265**	(4,374,917)	**1,935,583**	(4,059,833)
Payables	**109,560**	(3,761,723)	**(599,012)**	(3,541,724)
Cash generated from operating activities	**54,675,714**	42,511,703	**53,651,282**	43,416,527
Tax paid	**(102,035)**	(111,143)	**(49,773)**	(111,143)
Net cash from operating activities	**54,573,679**	42,400,560	**53,601,509**	43,305,384
CASH FLOWS FROM INVESTING ACTIVITIES				
Purchase of plant and equipment	**(167,055)**	(40,672)	**(167,055)**	(40,672)
Proceeds from disposal of investment properties	**-**	120,000,000	**-**	127,000,000
Enhancements to investment properties	**(1,140,241)**	(1,733,935)	**(1,140,241)**	(1,733,935)
Interest income	**60,185**	120,536	**58,296**	112,015
Repayment from/(advances to) a subsidiary company	**-**	-	**524,360**	(6,820,699)
Net cash (used in)/from investing activities	**(1,247,111)**	118,345,929	**(724,640)**	118,516,709
CASH FLOWS FROM FINANCING ACTIVITIES				
Drawdown of bank borrowings	**54,000,000**	45,700,000	**54,000,000**	45,700,000
Repayment of bank borrowings	**(56,500,000)**	(155,900,000)	**(56,500,000)**	(155,900,000)
Interest paid	**(12,084,511)**	(15,543,880)	**(12,084,511)**	(15,543,880)
Distribution to unitholders	**(39,453,936)**	(35,563,514)	**(39,453,936)**	(35,563,514)
Net cash used in financing activities	**(54,038,447)**	(161,307,394)	**(54,038,447)**	(161,307,394)
CASH AND CASH EQUIVALENTS				
Net changes	**(711,879)**	(560,905)	**(1,161,578)**	514,699
Brought forward	**3,320,596**	3,881,501	**3,294,772**	2,780,073
Carried forward	**2,608,717**	3,320,596	**2,133,194**	3,294,772

Statements Of Cash Flows

For The Financial Year Ended 31 December 2019 (Continued)

NOTES TO THE STATEMENTS OF CASH FLOWS

Cash and cash equivalents included in the Statements of Cash Flows comprise the following:

	Group		Trust	
	2019 RM	2018 RM	2019 RM	2018 RM
Bank balances	**1,608,717**	1,620,596	**1,383,194**	1,594,772
Deposits with licensed financial institutions	**1,000,000**	1,700,000	**750,000**	1,700,000
	2,608,717	3,320,596	**2,133,194**	3,294,772

RECONCILIATION OF LIABILITIES ARISING FROM FINANCING ACTIVITIES

	Group		Trust	
	2019 RM	2018 RM	2019 RM	2018 RM
Bank borrowings				
As at 1 January	**277,300,000**	387,500,000	**277,300,000**	387,500,000
Drawdown	**54,000,000**	45,700,000	**54,000,000**	45,700,000
Repayment	**(56,500,000)**	(155,900,000)	**(56,500,000)**	(155,900,000)
As at 31 December	**274,800,000**	277,300,000	**274,800,000**	277,300,000

The accompanying notes form an integral part of the financial statements.

1. GENERAL INFORMATION

UOA Real Estate Investment Trust ("UOA REIT" or "Trust") was constituted under a Deed dated 28 November 2005 ("Deed"), by the Manager, UOA Asset Management Sdn Bhd ("Manager") and RHB Trustees Berhad ("Trustee"). UOA REIT commenced operations on 1 December 2005.

UOA REIT was listed on the Main Market of Bursa Malaysia Securities Berhad on 30 December 2005. The principal activity of UOA REIT is investment in real estate and real estate-related assets used, or predominantly used, for commercial purposes, whether directly or indirectly through the ownership of single-purpose companies which wholly own real estate. There has been no significant change in the nature of this activity during the financial year.

The Manager, a company incorporated in Malaysia, is a subsidiary of UOA Corporation Berhad, (a subsidiary of UOA Holdings Sdn. Bhd. which in turn, is a wholly owned subsidiary of United Overseas Australia Ltd., a company incorporated in Australia and listed on the Australian Stock Exchange and the Stock Exchange of Singapore). The principal activity of the Manager is the management of real estate investment trusts. There has been no significant change in the nature of this activity during the financial year.

The principal activity of the subsidiary company is disclosed in Note 7 to the financial statements.

The consolidated financial statements reported for the financial year ended 31 December 2019 relates to the Trust and its subsidiary company ("the Group").

The financial statements were approved by the Manager's Board of Directors in accordance with a resolution of the Directors passed on 14 February 2020.

2. TERM OF THE TRUST

UOA REIT will continue its operations until such time as determined by the Trustee and the Manager as provided under the provisions of Clause 26 of the Deed.

3. BASIS OF PREPARATION

3.1 Statement of compliance

The financial statements of the Group and of the Trust have been prepared in accordance with the Malaysian Financial Reporting Standards ("MFRS"), International Financial Reporting Standards ("IFRS"), the Deed and the Securities Commission's Guidelines on Listed Real Estate Investment Trusts.

3.2 Basis of measurement

The financial statements of the Group and of the Trust are prepared under the historical cost convention, except for investment properties that have been measured at fair value.

Historical cost is generally based on the fair value of the consideration given in exchange for goods and services.

3. **BASIS OF PREPARATION (Continued)**

3.2 **Basis of measurement (Continued)**

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either in the principal market for the asset or liability, or in the absence of a principal market, in the most advantageous market for the asset or liability. The principal or the most advantageous market must be accessible to by the Group and by the Trust.

The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interest.

A fair value measurement of a non-financial market takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

The Group and the Trust use valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximising the use of relevant observable inputs and minimising the use of unobservable inputs.

All assets and liabilities for which fair value is measured or disclosed in the financial statements are categorised within the fair value hierarchy, described as follows, based on the lowest level input that is significant to their fair value measurement as a whole:

Level 1: Quoted (unadjusted) market prices in active markets for identical assets or liabilities

Level 2: Valuation techniques for which the lowest level input that is significant to their fair value measurement is directly or indirectly observable

Level 3: Valuation techniques for which the lowest level input that is significant to their fair value measurement is unobservable

For assets and liabilities that are recognised in the financial statements on a recurring basis, the Group and the Trust determine whether transfers have occurred between levels in the hierarchy by re-assessing categorisation (based on the lowest level input that is significant to their fair value measurement as a whole) at the end of each reporting date.

For the purpose of fair value disclosures, the Group and the Trust have determined classes of assets and liabilities on the basis of the nature, characteristics and risks of the asset or liability and the level of fair value hierarchy as explained above.

3.3 **Functional and presentation currency**

The financial statements are presented in Ringgit Malaysia ("RM") which is the Group's and the Trust's functional currency and all values are rounded to the nearest RM except when otherwise stated.

3.4 **Adoption of new standards/amendments/improvements to MFRSs**

The Group and the Trust have consistently applied the accounting policies set out in Note 4 to all years presented in these financial statements.

At the beginning of the current financial year, the Group and the Trust adopted new standards/amendments/ improvements to MFRSs which are mandatory for the financial years beginning on or after 1 January 2019.

3. **BASIS OF PREPARATION (Continued)**

3.4 **Adoption of new standards/amendments/improvements to MFRSs (Continued)**

Initial application of the new standards/amendments/improvements to financial standards did not have material impact to the Financial Statements, except for:

MFRS 16 Leases

MFRS 16 supersedes MFRS 117 Leases, IC Interpretation 4 Determining whether an Arrangement contains a Lease, IC Interpretation 115 Operating Leases-Incentives and IC Interpretation 127 Evaluating the Substance of Transactions Involving the Legal Form of a Lease. The standard sets out the principles for the recognition, measurement, presentation and disclosure of leases and requires lessees to recognise most leases on the statements of financial position.

Lessor accounting under MFRS 16 is substantially unchanged from MFRS 117. Lessors will continue to classify leases as either operating or finance leases using similar principles as in MFRS 117. Therefore, MFRS 16 does not have an impact for leases where the Group and the Trust are the lessor.

The adoption of MFRS 16 does not have significant impact to the Group's and the Trust's financial statements other than additional disclosures required.

3.5 **Standards issued but not yet effective**

The new and amended standards and interpretations that are issued, but not yet effective are disclosed below. The Group and the Trust intend to adopt these new and amended standards and interpretations, if applicable, when they become effective:

Amendments to MFRSs and IC Interpretations effective 1 January 2020:

Amendments to MFRS 3	Definition of a business
Amendments to MFRS 7, 9 and 139	Interest Rate Benchmark Reform
Amendments to MFRS 101 and MFRS 108	Definition of material
Conceptual Framework	Amendments to References to the Conceptual Framework in MFRS Standards (MFRS 2, 3, 6, 14, 101, 108, 134, 137, 138 and IC Interpretation 12, 19, 20, 22 and 132)

MFRS effective 1 January 2021:

MFRS 17*	Insurance Contracts

Amendments to MFRSs – effective date deferred indefinitely:

MFRS 10 and 128*	Sale or Contribution of Assets between an Investor and its Associate or Joint Venture

* Not applicable to the Group's and the Trust's operation

The initial application of the above standards, amendments and interpretation are not expected to have any financial impacts to the financial statements, except for:

Amendments to MFRS 101 and MFRS 108: Definition of Material

In October 2018, the MASB issued amendments to MFRS 101 Presentation of Financial Statements and MFRS 108 Accounting Policies, Changes in Accounting Estimates and Errors to align the definition of 'material' across the standards and to clarify certain aspects of the definition. The new definition states that, information is material if omitting, misstating or obscuring it could reasonably be expected to influence decisions that the primary users of general-purpose financial statements make on the basis of those financial statements, which provide financial information about a specific reporting entity.

The amendments to the definition of material is not expected to have a significant impact on the Group's and the Trust's financial statements.

3. BASIS OF PREPARATION (Continued)

3.6 Significant accounting estimates and judgements

Estimates, assumptions concerning the future and judgements are made in the preparation of the financial statements. They affect the application of the Group's and the Trust's accounting policies and reported amounts of assets, liabilities, income and expenses, and disclosures made. Estimates and underlying assumptions are assessed on an on-going basis and are based on experience and relevant factors, including expectations of future events that are believed to be reasonable under the circumstances. The actual result may differ from the judgements, estimates and assumptions made by management, and will seldom equal the estimated results.

3.6.1 Estimation uncertainty

Information about significant judgements, estimates and assumptions that have the most significant effect on recognition and measurement of assets, liabilities, income and expenses are discussed below.

Useful lives of depreciable assets

Plant and equipment are depreciated on a straight-line basis over their useful lives. Management estimates the useful lives of the depreciable assets to be within 5 to 10 years and reviews the useful lives of depreciable assets at each reporting date. As at the reporting date, management assesses that the useful lives represent the expected utility of the assets to the Group and to the Trust. Actual results, however, may vary due to change in the expected level of usage and technological developments, which may result in adjustments to the Group's and to the Trust's assets.

Fair value of investment properties

The Group's and the Trust's measure their investment properties at fair value with changes in fair value being recognised in profit or loss. Significant judgement is required in the determination of fair value which may be derived based on different valuation method. In making the judgement, the Group and the Trust evaluate based on past experience and reliance on the work of specialists. The Group and the Trust engage independent valuation specialists to determine fair values.

The carrying amount of investment properties at the end of the reporting year and the relevant revaluation bases are disclosed in the Note 6 to the Financial Statements.

Impairment of non-financial assets

An impairment loss is recognised for the amount by which the asset's or cash-generating unit's carrying amount exceeds its recoverable amount. To determine the recoverable amount, management estimates expected future cash flows from each asset or cash-generating unit and determines a suitable interest rate in order to calculate the present value of those cash flows. In the process of measuring expected future cash flows, management makes assumptions about future operating results. The actual results may vary, and may cause significant adjustments to the Group's and to the Trust's assets within the next financial year.

In most cases, determining the applicable discount rate involves estimating the appropriate adjustments to market risk and the appropriate adjustment to asset-specific risk factors.

Provision for expected credit losses ("ECL") of trade receivables

The Group and the Trust use a provision matrix to calculate ECLs for trade receivables. The provision rates are based on days past due for groupings of various customer segments that have similar loss patterns (i.e., by geography, customer type and rating, and coverage by letters of credit and other forms of credit insurance).

3. **BASIS OF PREPARATION (Continued)**

3.6 **Significant accounting estimates and judgements (Continued)**

3.6.1 **Estimation uncertainty (Continued)**

Provision for expected credit losses ("ECL") of trade receivables (Continued)

The provision matrix is initially based on the Group's and on the Trust's historical observed default rates. The Group and the Trust will calibrate the matrix to adjust the historical credit loss experience with forward-looking information. For instance, if forecast economic conditions (i.e., gross domestic product) are expected to deteriorate over the next year which can lead to an increased number of defaults in the Group's and the Trust's related economic sector, the historical default rates are adjusted. At every reporting date, the historical observed default rates are updated and changes in the forward-looking estimates are analysed.

The assessment of the correlation between historical observed default rates, forecast economic conditions and ECLs is a significant estimate. The amount of ECLs is sensitive to changes in circumstances and of forecast economic conditions. The Group's and the Trust's historical credit loss experience and forecast of economic conditions may also not be representative of customer's actual default in the future. The information about the ECLs on the Group's and the Trust's trade receivables is disclosed in Note 31 to the Financial Statements.

Income taxes

Significant judgement is involved in determining the capital allowances and deductibility of expenses during the estimation of the provision for income tax. There are certain transactions and computations for which the ultimate tax determination is uncertain during the ordinary course of business.

The Group and the Trust recognise liabilities for expected tax issues based on estimates of whether additional taxes will be due. Where the final tax outcome of these matters is different from the amounts that were initially recognised, such differences will impact the income tax and deferred tax provisions in the year in which such determination is made.

3.6.2 **Significant management judgements**

The following are significant management judgements in applying the accounting policies of the Group and of the Trust that have the most significant effect on these financial statements.

Classification between investment properties and owner-occupied properties

The Group and the Trust determine whether properties qualify as investment properties and have developed the criteria in making that judgement. Investment properties are properties held to earn rentals or for capital appreciation or both.

Certain properties comprise a portion that is held to earn rentals or for capital appreciation and another portion that is held for use in the production or supply of goods or services or for administrative purposes. The Group and the Trust account for the portions separately if the portions could be sold separately (or leased out separately under a finance lease). If the portions could not be sold separately, the properties are investment properties only if an insignificant portion is held for use in the production or supply of goods or services or for administrative purposes.

Judgement is made on an individual property basis to determine whether ancillary services are so significant that a property does not qualify as an investment property.

3. BASIS OF PREPARATION (Continued)

3.6 Significant accounting estimates and judgements (Continued)

3.6.2 Significant management judgements (Continued)

Deferred tax on investment properties

For the purposes of measuring deferred tax liabilities arising from investment properties that are measured using the fair value model, the management of the Group and the Trust review the investment properties and concluded that the Group's and the Trust's investment properties are held under a business model whose objective is to recover the carrying amount of the investment properties through sale.

Accordingly, the Group and the Trust recognise deferred taxes in respect of the changes in fair value of investment properties based on Real Property Gains Tax ("RPGT"). The final tax outcome could be different from the deferred tax liabilities recognised in the financial statements should the economic benefits embodied in the investment properties be subsequently substantially consumed over time rather than through sale.

4. SIGNIFICANT ACCOUNTING POLICIES

The Group and the Trust apply the significant accounting policies, as summarised below, consistently throughout all years presented in the financial statements, unless otherwise stated.

4.1 Consolidation

4.1.1 Subsidiary company

Subsidiary company is entity, including structured entity, controlled by the Trust. Control exists when the Group is exposed, or has rights, to variable returns from its involvement with the entity and has the ability to affect those returns through its power over the entity. Potential voting rights are considered when assessing control only when such rights are substantive. Besides, the Group considers it has de facto power over an investee when, despite not having the majority of voting rights, it has the current ability to direct the activities of the investee that significantly affect the investee's return.

Investment in subsidiary company is stated at cost less any impairment losses in the Trust's financial position, unless the investment is held for sale or distribution.

Upon the disposal of investment in a subsidiary company, the difference between the net disposal proceeds and its carrying amount is included in profit or loss.

4.1.2 Basis of consolidation

The Group financial statements consolidate the audited financial statements of the Trust and its subsidiary, which have been prepared in accordance with the Group's accounting policies. Amounts reported in the financial statements of subsidiary have been adjusted where necessary to ensure consistency with the accounting policies adopted by the Group. The financial statements of the Trust and its subsidiary are all drawn up to the same reporting date.

All intra-group balances, transactions, income and expenses are eliminated in full on consolidation and the consolidated financial statements reflect external transactions only.

Subsidiary is consolidated from the date on which control is transferred to the Group and are no longer consolidated from the date that control ceases.

Changes in the Trust owners' ownership interest in a subsidiary that do not result in a loss of control are accounted for as equity transactions between the Group and non-controlling interest holders. In such circumstances, the carrying amounts of the controlling and non-controlling interests are adjusted to reflect the changes in their relative interests in the subsidiary. Any difference between the amount by which the non-controlling interest is adjusted and the fair value of the consideration paid or received is recognised directly in equity.

4. **SIGNIFICANT ACCOUNTING POLICIES (Continued)**

4.1 **Consolidation (Continued)**

4.1.3 **Loss of control**

When the Trust loses control of a subsidiary:

(i) It derecognises the assets and liabilities, non-controlling interests, and other amounts previously recognised in other comprehensive income relating to the former subsidiary.

(ii) It recognises any gain or loss in profit or loss attributable to the Group, which is calculated as the difference between (i) the aggregate of the fair value of the consideration received, if any, from the transaction, event or circumstances that resulted in the loss of control; plus any investment retained in the former subsidiary at its fair value at the date when control is lost; and (ii) the net carrying amount of assets, liabilities, goodwill and any non-controlling interests attributable to the former subsidiary at the date when control is lost.

(iii) It recognises any investment retained in the former subsidiary at its fair value when control is lost and subsequently accounts for it and for any amounts owed by or to the former subsidiary in accordance with relevant MFRS. That fair value shall be regarded as the fair value on initial recognition of a financial asset or, when appropriate, the cost on initial recognition of an investment in an associate or joint venture.

4.2 **Plant and equipment**

All plant and equipment are initially stated at cost. The cost of an item of plant and equipment is recognised as an asset if, and only if, it is probable that future economic benefits associated with the item will flow to the Group and to the Trust and the cost of the item can be measured reliably.

Cost includes expenditures that are directly attributable to the acquisition of the assets and any other costs directly attributable to bringing the assets to working condition for its intended use, cost of replacing component parts of the assets, and the present value of the expected cost for the decommissioning of the assets after their use. All other repair and maintenance costs are recognised in profit or loss as incurred.

All plant and equipment are subsequently stated at cost less accumulated depreciation and less any impairment losses. When significant parts of plant and equipment are required to be replaced in intervals, the Group and the Trust recognise such costs as individual assets with specific useful lives and depreciation respectively. All other repair and maintenance costs are recognised in profit or loss as incurred.

Plant and equipment are written down to recoverable amount if, in the opinion of the Managers, it is less than their carrying value. Recoverable amount is the net selling price of the plant and equipment, that is the amount obtainable from the sale of an asset in an arm's length transaction between knowledgeable, willing parties, less the costs of disposal.

Depreciation is recognised on the straight-line method in order to write off the cost of each asset over its estimated useful life.

The principal annual depreciation rates used are as follows:

Office equipment	10%
Computer	20%
Office renovation	10%

Fully depreciated assets are retained in the financial statements until they are no longer in use and no further charge for depreciation is made in respect of these assets.

4. **SIGNIFICANT ACCOUNTING POLICIES (Continued)**

4.2 **Plant and equipment (Continued)**

Restoration cost relating to an item of plant and equipment is capitalised only if such expenditure is expected to increase the future benefits from the existing asset beyond its previously assessed standard of performance.

The residual values, useful lives and depreciation method are reviewed for impairment when events or changes in circumstances indicate that the carrying amount may not be recoverable, or at least annually to ensure that the amount, method and rate of depreciation are consistent with previous estimates and the expected pattern of consumption of the future economic benefits embodied in the items of plant and equipment.

Plant and equipment are derecognised upon disposal or when no future economic benefits are expected from its use or disposal. Gains or losses arising on the disposal of plant and equipment are determined as the difference between the disposal proceeds and the carrying amounts of the assets and are recognised in profit or loss in the financial year in which such asset is derecognised.

4.3 **Investment properties**

Investment properties are properties which are owned to earn rental income or for capital appreciation or for both, but not for sale in the ordinary course of business, use in the production or supply of goods or services or for administrative purposes.

Investment properties are initially measured at cost, including transaction cost. Cost includes expenditures that are directly attributable to the acquisition of the investment properties.

Subsequent to initial recognition, investment properties are measured at fair value and are revalued annually and are included in the statements of financial position at their open market values. Any gain or loss resulting from either a change in the fair value or the sale of investment properties are immediately recognised in profit or loss in the period in which they arise. The fair values are determined by external professional valuers with sufficient experience with respect to both the location and the nature of the investment properties and are supported by market evidence.

Investment properties are derecognised when either they are disposed off or when they are permanently withdrawn from use and no future economic benefit is expected from the disposal. Any gain or loss on the retirement or disposal of an investment property is recognised in the profit or loss in the financial year of retirement or disposal.

Transfers are made to or from investment properties only when there is a change in use. For a transfer from investment properties to owner-occupied properties, the deemed cost for subsequent accounting is the fair value at the date of change. If owner-occupied properties becomes an investment properties, the Group and the Trust account for such properties in accordance with the policy stated under plant and equipment up to the date of change.

4.4 **Financial instruments**

A financial instrument is any contract that give rise to a financial asset of one entity and a financial liability or equity instrument of another entity.

4. **SIGNIFICANT ACCOUNTING POLICIES (Continued)**

4.4 **Financial instruments (Continued)**

4.4.1 **Financial assets**

Initial recognition and measurement

Financial assets are classified, at initial recognition as subsequently measured at amortised cost, fair value through other comprehensive income ("OCI") and fair value through profit or loss.

The classification of financial assets at initial recognition depends on the financial asset's contractual cash flow characteristics and the Group's and the Trust's business model for managing them. With the exception of trade receivables that do not contain a significant financing component or for which the Group and the Trust have applied the practical expedient, the Group and the Trust initially measure a financial asset at its fair value plus, in the case of a financial asset not at fair value through profit or loss, transaction costs. Trade receivables that do not contain a significant financing component or for which the Group and the Trust have applied the practical expedient are measured at the transaction price.

In order for a financial asset to be classified and measured at amortised cost or fair value through OCI, it needs to give rise to cash flows that are 'solely payments of principal and interest ("SPPI")' on the principal amount outstanding. This assessment is referred to as the SPPI test and is performed at an instrument level. Financial assets with cash flows that are not SPPI are classified and measured at fair value through profit or loss, irrespective of the business model.

The Group's and the Trust's business model for managing financial assets refers to how it manages its financial assets in order to generate cash flows. The business model determines whether cash flows will result from collecting contractual cash flows, selling the financial assets, or both. Financial assets are classified and measured at amortised cost are held within a business model with the objective to hold financial assets in order to collect contractual cash flows while financial assets classified and measured at fair value through OCI are held within a business model with the objective of both holding to collect contractual cash flows and selling.

Purchases or sales of financial assets that require delivery of assets within a time frame established by regulation or convention in the market place (regular way trades) are recognised on the trade date, i.e. the date that the Group and the Trust commit to purchase or sell the asset.

Subsequent measurement

For purposes of subsequent measurement, financial assets are classified in four categories:

- Financial assets at amortised cost (debt instruments)
- Financial assets at fair value through OCI with recycling of cumulative gains and losses (debt instruments)
- Financial assets designated at fair value through OCI with no recycling of cumulative gains and losses upon derecognition (equity instruments)
- Financial assets at fair value through profit or loss

At the reporting date, the Group and the Trust carry only financial assets at amortised cost on their statements of financial position.

<u>Financial assets at amortised cost</u>

Financial assets at amortised cost are subsequently measured using the effective interest ("EIR") method and are subject to impairment. Gains and losses are recognised in profit or loss when the asset is derecognised, modified or impaired. The Group's and the Trust's financial assets at amortised cost include trade and other receivables, amount owing by a subsidiary company and cash and cash equivalents.

4. **SIGNIFICANT ACCOUNTING POLICIES (Continued)**

4.4 **Financial instruments (Continued)**

4.4.1 **Financial assets (Continued)**

Derecognition

A financial asset (or, where applicable, a part of a financial asset or part of a group of similar financial assets) is primarily derecognised when:

- The rights to receive cash flows from the asset have expired; or
- The Group and the Trust have transferred its rights to receive cash flows from the asset or have assumed an obligation to pay the received cash flows in full without material delay to a third party under a 'pass-through' arrangement; and either (a) the Group and the Trust have transferred substantially all the risks and rewards of the asset, or (b) the Group and the Trust have neither transferred nor retained substantially all the risks and rewards of the asset but have transferred control of the asset.

When the Group and the Trust have transferred their rights to receive cash flows from an asset or has entered into a passthrough arrangement, they evaluate if, and to what extent, have retained the risks and rewards of ownership. When they have neither transferred nor retained substantially all of the risks and rewards of the asset, nor transferred control of the asset, the Group and the Trust continue to recognise the transferred asset to the extent of its continuing involvement. In that case, the Group and the Trust also recognise an associated liability. The transferred asset and the associated liability are measured on a basis that reflects the rights and obligations that the Group and the Trust have retained.

Continuing involvement that takes the form of a guarantee over the transferred asset is measured at the lower of the original carrying amount of the asset and the maximum amount of consideration that the Group and the Trust could be required to repay.

Impairment

The Group and the Trust recognise an allowance for expected credit losses ("ECLs") for all debt instruments not held at fair value through profit or loss. ECLs are based on the difference between the contractual cash flows due in accordance with the contract and all the cash flows that the Group and the Trust expect to receive, discounted at an approximation of the original effective interest rate. The expected cash flows will include cash flows from the sale of collateral held or other credit enhancements that are integral to the contractual terms.

ECLs are recognised in two stages. For credit exposures for which there has not been a significant increase in credit risk since initial recognition, ECLs are provided for credit losses that result from default events that are possible within the next 12-months (a 12-month ECL). For those credit exposures for which there has been a significant increase in credit risk since initial recognition, a loss allowance is required for credit losses expected over the remaining life of the exposure, irrespective of the timing of the default (a lifetime ECL).

For trade receivables, the Group and the Trust apply a simplified approach in calculating ECLs. Therefore, the Group and the Trust do not track changes in credit risk, but instead recognise a loss allowance based on lifetime ECLs at each reporting date. The Group and the Trust have established a provision matrix that is based on its historical credit loss experience, adjusted for forward-looking factors specific to the debtors and the economic environment.

The Group and the Trust consider a financial asset in default when contractual payments are 14 days past due. However, in certain cases, the Group and the Trust may also consider a financial asset to be in default when internal or external information indicates that the Group and the Trust are unlikely to receive the outstanding contractual amounts in full before taking into account any credit enhancements held by the Group and the Trust. A financial asset is written off when there is no reasonable expectation of recovering the contractual cash flows.

4. **SIGNIFICANT ACCOUNTING POLICIES (Continued)**

4.4 **Financial instruments (Continued)**

4.4.2 **Financial liabilities**

Initial recognition and measurement

All financial liabilities are recognised initially at fair value and, in the case of loans and borrowings and payables, net of directly attributable transaction costs.

The Group's and the Trust's financial liabilities include other payables and bank borrowings.

Subsequent measurement

For purposes of subsequent measurement, financial liabilities are classified in two categories:

- Financial liabilities at fair value through profit or loss
- Financial liabilities at amortised cost

At the reporting date, the Group and the Trust carry only financial liabilities at amortised cost on their statements of financial position.

Financial liabilities at amortised cost

After initial recognition, carrying amounts are subsequently measured at amortised cost using the EIR method. Gains and losses are recognised in profit or loss when the liabilities are derecognised as well as through the EIR amortisation process. Amortised cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR. The EIR amortisation is included as finance costs in the statements of profit or loss.

Derecognition

A financial liability is derecognised when the obligation under the liability is discharged, cancelled or expired. When an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as the derecognition of the original liability and the recognition of a new liability. The difference in the respective carrying amounts is recognised in the statements of profit or loss.

4.4.3 **Offsetting of financial instruments**

Financial assets and financial liabilities are offset and the net amount reported in the statements of financial position if there is a currently enforceable legal right to offset the recognised amounts and there is an intention to settle on a net basis, or to realise the assets and settle the liabilities simultaneously.

4. SIGNIFICANT ACCOUNTING POLICIES (Continued)

4.5 Impairment of non-financial assets

At each reporting date, the Group and the Trust review the carrying amounts of their non-financial assets to determine whether there is any indication of impairment by comparing its carrying amount with its recoverable amount. Recoverable amount is the higher of an asset's fair value less costs to sell and its value in use. For the purpose of assessing impairment, assets are grouped at the lowest levels for which there are separately identifiable cash flows (cash generating units).

In assessing value-in-use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. Where the carrying amount of an asset exceeds its recoverable amount, the asset is written down to its recoverable amount. Impairment losses recognised in respect of a cash-generating unit or groups of cash-generating units are allocated first to reduce the carrying amount of any goodwill allocated to those units or group of units and then, to reduce the carrying amount of the other assets in the unit or groups of units on a pro-rata basis.

An impairment loss is recognised as an expense in the profit or loss immediately.

An assessment is made at each end of the reporting year as to whether there is any indication that previously recognised impairment losses for an asset other than goodwill may no longer exist or may have decreased. If such indication exists, the recoverable amount is estimated. A previously recognised impairment loss is reversed only if there has been a change in the estimates used to determine the asset recoverable amount since the last impairment loss was recognised. The increased amount cannot exceed the carrying amount that would have been determined, net of depreciation, had no impairment loss been recognised for the asset in prior years. Such reversal is recognised in profit or loss.

4.6 Cash and cash equivalents

Cash and cash equivalents comprise bank balances and deposits with licensed financial institutions which are readily convertible to known amount of cash and which are subject to an insignificant risk of changes in value.

4.7 Borrowing costs

Borrowing costs consist of interest and other costs that the Group and the Trust incurred in connection with the borrowing of funds.

Borrowing costs directly attributable to the acquisition, construction or production of a qualifying asset are capitalised during the period of time that is necessary to complete and prepare the asset for its intended use or sale. Capitalisation of borrowing costs commences when the activities to prepare the asset for its intended use or sale are in progress and the expenditures and borrowing costs are incurred. Borrowing costs are capitalised until the assets are substantially completed for their intended use or sale. Other borrowing costs are expensed in the year in which they incurred.

4.8 Leases

The Group and the Trust assess at contract inception whether a contract is, or contains a lease, that is, if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration.

<u>As lessor</u>

Leases in which the Group and the Trust do not transfer substantially all the risks and rewards incidental to ownership of an asset are classified as operating leases. Rental income arising is accounted for on a straight-line basis over the lease terms and is included in revenue in the statements of profit or loss due to its operating nature. Initial direct costs incurred in negotiating and arranging an operating lease are added to the carrying amount of the leased asset and recognised over the lease term on the same basis as rental income. Contingent rents are recognised as revenue in the period in which they are earned.

4. SIGNIFICANT ACCOUNTING POLICIES (Continued)

4.9 Revenue from contracts with customers

Revenue is recognised when or as a performance obligation in the contract with customer is satisfied, i.e. when the "control" of the goods or services underlying the particular performance obligation is transferred to the customer.

A performance obligation is a promise to transfer a distinct goods or service (or a series of distinct goods or services that are substantially the same and that have the same pattern of transfer) to the customer that is explicitly stated in the contract and implied in the Group's and the Trust's customary business practices.

Revenue is measured at the amount of consideration to which the Group and the Trust expect to be entitled in exchange for transferring the promised goods or services to the customers, excluding amounts collected on behalf of third parties such as sales taxes or goods and services taxes.

If the amount of consideration varies due to discounts, rebates, refunds, credits, incentives, penalties or other similar items, the Group and the Trust estimate the amount of consideration to which it will be entitled based on the expected value or the most likely outcome. If the contract with customer contains more than one performance obligation, the amount of consideration is allocated to each performance obligation based on the relative stand-alone selling prices of the goods or services promised in the contract.

The revenue is recognised to the extent that it is highly probable that a significant reversal in the amount of cumulative revenue recognised will not occur when the uncertainty associated with the variable consideration is subsequently resolved.

The control over the goods or services is transferred over time and revenue is recognised over time if:

- the customer simultaneously receives and consumes the benefits provided by the Group's and the Trust's performance as the Group and the Trust perform;
- the Group's and the Trust's performance creates or enhances an asset that the customer controls as the asset is created or enhanced; or
- the Group's and the Trust's performance do not create an asset with an alternative use and the Group and the Trust have an enforceable right to payment for performance completed to date.

Revenue for performance obligation that is not satisfied over time is recognised at a point in time.

4.9.1 Rental income

Rental income is recognised on a straight-line basis over the specific tenure of the respective leases. Lease incentives granted are recognised as an integral part of the total rental income, over the term of the lease.

4.9.2 Interest income

Interest income is recognised on a time proportion basis.

4. SIGNIFICANT ACCOUNTING POLICIES (Continued)

4.10 Tax expense

4.10.1 Current tax

Current tax is the expected amount of income taxes payable in respect of the taxable profit for the financial year and are measured using tax rates that have been enacted by the end of reporting year and any adjustment to tax payable in respect of previous years.

Current tax is recognised in the statement of financial position as a liability (or an asset) to the extent that it is unpaid (or refundable).

4.10.2 Deferred tax

Deferred tax is recognised using the liabilities method, providing for temporary differences between the carrying amounts of assets and liabilities in the statements of financial position and their tax bases. Deferred tax is measured at the tax rates that are expected to be applied to the temporary differences when they reverse, based on the laws that have been enacted or substantially enacted by the end of the reporting date.

Where investment properties are carried at their fair value in accordance with the accounting policy set out in Note 4.3 to the Financial Statements, the amount of deferred tax recognised is measured using the tax rates that would apply on sale of those assets at their carrying value at the reporting date unless the property is depreciable and is held with the objective to consume substantially all of the economic benefits embodied in the property over time, rather than through sale. In all other cases, the amount of deferred tax recognised is measured based on the expected manner of realisation or settlement of the carrying amount of the assets and liabilities, using tax rates enacted or substantively enacted at the reporting date. Deferred tax assets and liabilities are not discounted.

Deferred tax assets and liabilities are offset if there is a legally enforceable right to offset current tax liabilities and assets, and they relate to income taxes levied by the same tax authority on the same taxable entity, or on different tax entities, but they intend to settle current tax liabilities and assets on a net basis or their tax assets and liabilities will be realised simultaneously.

5. **PLANT AND EQUIPMENT**

Group and Trust	Office equipment RM	Computer RM	Office renovation RM	Total RM
Cost				
At 1.1.2018	157,993	11,785	-	169,778
Additions	36,792	3,880	-	40,672
Written off	(3,160)	(4,985)	-	(8,145)
Disposal	(5,350)	-	-	(5,350)
At 31.12.2018	186,275	10,680	-	196,955
Additions	59,055	12,000	96,000	167,055
Written off	(9,380)	-	-	(9,380)
At 31.12.2019	235,950	22,680	96,000	354,630
Accumulated depreciation				
At 1.1.2018	80,657	8,206	-	88,863
Charge for the year	13,664	1,297	-	14,961
Written off	(1,877)	(4,982)	-	(6,859)
Disposal	(2,302)	-	-	(2,302)
At 31.12.2018	90,142	4,521	-	94,663
Charge for the year	16,490	3,556	6,625	26,671
Written off	(6,617)	-	-	(6,617)
At 31.12.2019	100,015	8,077	6,625	114,717
Net carrying amount				
31.12.2019	135,935	14,603	89,375	239,913
31.12.2018	96,133	6,159	-	102,292

6. INVESTMENT PROPERTIES

	Group RM	Trust RM
At 1.1.2018	1,128,296,121	1,128,296,121
Additions from enhancements	1,733,935	1,733,935
Disposal	(117,500,000)	(122,247,348)
Fair value gain	22,569,944	22,817,292
At 31.12.2018	1,035,100,000	1,030,600,000
Additions from enhancements	1,140,241	1,140,241
Disposal	-	(4,376,958)
At 31.12.2019	1,036,240,241	1,027,363,283

Investment properties as at 31 December 2019 are stated at fair value based on an assessment by the Board of Directors. The fair value represents the amount at which the properties could be exchanged on an open market basis between a knowledgeable willing buyer and a knowledgeable willing seller in an arm's length transaction at the reporting date.

Whilst a full valuation has not been conducted, the Board of Directors have obtained updated market values of the investment properties as at 31 December 2019 carried out by a registered independent valuer ("Valuer"). The existing book values of the investment properties as at 31 December 2019 ("Book Values") was not materially different from the updated valuations performed.

In view of the above and taking into account current market conditions, the Board of Directors assessed that the Book Values are fair. Hence, the Book Values were not adjusted and were taken to represent the fair values of the investment properties at the same date. The fair values of the investment properties were determined using comparison and income method of valuation.

The fair value of investment properties is classified under Level 3.

Details of Level 3 fair value measurements are as follows:

Valuation method and key inputs	Significant unobservable inputs	Relationship of unobservable inputs and fair value
Investment method which capitalises the actual or estimated rental income stream, net of projected operating costs, using a discount rate derived from market yields	Discount rate of 6.25% (2018: 6.25%)	The higher the discount rate the lower the fair value
	Estimated market yield of 6.50% (2018: 6.50%)	The higher the estimated market yield, the lower the fair value
	Occupancy rate of 79.29% to 98.76% (2018: 84.90% to 98.10%)	The higher the occupancy rate, the higher the fair value

All land/strata titles are registered in the name of the Trustee.

6. **INVESTMENT PROPERTIES (Continued)**

Group

Description of properties	Tenure	Acquisition cost RM	Date of last valuation *	Last valuation RM	Fair value RM	Percentage of fair value to Net Asset Value %
As at 31 December 2019						
UOA Centre Parcels	Freehold	55,981,272	31.12.2018	85,100,000	85,100,000	12.04
UOA II Parcels	Freehold	194,502,300	31.12.2018	294,000,000	294,000,000	41.61
UOA Damansara Parcels	Freehold	72,000,000	31.12.2018	121,000,000	121,000,000	17.13
Wisma UOA Damansara II	Freehold	211,000,000	31.12.2018	235,000,000	236,140,241	33.42
Parcel B – Menara UOA Bangsar	Leasehold	289,000,000	31.12.2018	300,000,000	300,000,000	42.46
		822,483,572		1,035,100,000	1,036,240,241	
As at 31 December 2018						
UOA Centre Parcels	Freehold	55,981,272	31.12.2018	85,100,000	85,100,000	11.73
UOA II Parcels	Freehold	194,502,300	31.12.2018	294,000,000	294,000,000	40.54
UOA Damansara Parcels	Freehold	72,000,000	31.12.2018	121,000,000	121,000,000	16.68
Wisma UOA Damansara II	Freehold	211,000,000	31.12.2018	235,000,000	235,000,000	32.40
Parcel B – Menara UOA Bangsar	Leasehold	289,000,000	31.12.2018	300,000,000	300,000,000	41.37
		822,483,572		1,035,100,000	1,035,100,000	

Trust

Description of properties	Tenure	Acquisition cost RM	Date of last valuation *	Last valuation RM	Fair value RM	Percentage of fair value to Net Asset Value %
As at 31 December 2019						
UOA Centre Parcels	Freehold	55,981,272	31.12.2018	85,100,000	85,100,000	11.99
UOA II Parcels	Freehold	194,502,300	31.12.2018	294,000,000	294,000,000	41.41
UOA Damansara Parcels	Freehold	72,000,000	31.12.2018	121,000,000	121,000,000	17.04
Wisma UOA Damansara II	Freehold	211,000,000	31.12.2018	235,000,000	236,140,241	33.26
Parcel B – Menara UOA Bangsar	Leasehold	279,875,695	31.12.2018	291,500,000	291,123,042	41.00
		813,359,267		1,026,600,000	1,027,363,283	
As at 31 December 2018						
UOA Centre Parcels	Freehold	55,981,272	31.12.2018	85,100,000	85,100,000	11.69
UOA II Parcels	Freehold	194,502,300	31.12.2018	294,000,000	294,000,000	40.38
UOA Damansara Parcels	Freehold	72,000,000	31.12.2018	121,000,000	121,000,000	16.62
Wisma UOA Damansara II	Freehold	211,000,000	31.12.2018	235,000,000	235,000,000	32.28
Parcel B – Menara UOA Bangsar	Leasehold	284,252,653	31.12.2018	295,500,000	295,500,000	40.58
		817,736,225		1,030,600,000	1,030,600,000	

* The valuation was conducted by PPC International Sdn Bhd, an independent firm of professional valuers registered with the Board of Valuers Appraisers & Estate Agents Malaysia, using the comparison and income method of valuation.

6. INVESTMENT PROPERTIES (Continued)

As at 31 December 2019, UOA Centre Parcels, UOA II Parcels (excluding Level 17, UOA II), UOA Damansara Parcels, Wisma UOA Damansara II and Parcel B - Menara UOA Bangsar (excluding Petak 9 and 14, MUB) with an aggregate carrying amount of RM1,013,363,283 (2018: RM1,021,100,000) have been pledged as security for borrowings referred to in Note 14 to the Financial Statements.

The direct operating expenses are disclosed in Note 18 to the Financial Statements.

7. INVESTMENT IN A SUBSIDIARY COMPANY

	Trust	
	2019 RM	**2018 RM**
Unquoted shares, in cost	**2**	2

The details of the subsidiary company which is incorporated in Malaysia, is as follows:

	Principal place of business	Equity interest 2019 %	Equity interest 2018 %	Principal activity
Angkara Restu Sdn Bhd	Malaysia	**100**	100	Property investment

8. TRADE RECEIVABLES

	Group		Trust	
	2019 RM	**2018 RM**	**2019 RM**	**2018 RM**
Trade receivables	**1,919,556**	2,893,105	**1,909,722**	2,878,589
Less: Allowance for expected credit losses				
As at 1 January	**(707,620)**	(1,567,437)	**(707,620)**	(1,567,437)
Additions	**(116,869)**	(145,693)	**(116,869)**	(145,693)
Reversal	**67,037**	1,005,510	**67,037**	1,005,510
Written off	**53,500**	-	**53,500**	-
As at 31 December	**(703,952)**	(707,620)	**(703,952)**	(707,620)
	1,215,604	2,185,485	**1,205,770**	2,170,969

The credit term for monthly rental from tenants is 14 (2018: 14) days.

Allowance for expected credit losses was reversed as a result of receipts during the financial year.

Included in trade receivables of the Group and of the Trust was amount owing by a company related to the Manager amounting to RM525,883 in previous financial year.

9. OTHER RECEIVABLES

	Group and Trust	
	2019 RM	2018 RM
Non-trade receivables	**3,478,193**	5,410,276
Deposits	**2,879,298**	3,278,107
Prepayment	**163,703**	99,023
	6,521,194	8,787,406

10. AMOUNT OWING BY A SUBSIDIARY COMPANY

The amount owing by a subsidiary company represents interest free advances which are unsecured and expected to be repaid in the next 12 months.

11. DEPOSITS WITH LICENSED FINANCIAL INSTITUTIONS

The effective interest rates of deposits ranged between 2.50% and 3.25% (2018: 2.65% and 3.20%) per annum. The deposits had maturity terms of one month or less.

12. OTHER PAYABLES

	Group		Trust	
	2019 RM	2018 RM	2019 RM	2018 RM
Non-current				
Tenants' deposits	**9,650,696**	10,026,518	**9,495,514**	10,026,518
Current				
Amount owing to the Manager	**418,293**	429,133	**418,293**	429,133
Amount owing to companies related to the Manager	**34,677**	39,187	**34,671**	39,187
Non-trade payables	**1,055,991**	122,725	**1,055,991**	642,725
Interest payables	**405,567**	719,765	**405,567**	719,765
Accruals	**743,350**	1,345,534	**737,772**	1,342,266
Tenants' deposits	**12,227,827**	12,231,138	**12,203,761**	12,231,138
Rental received in advance	**534,635**	513,447	**527,627**	513,447
	15,420,340	15,400,929	**15,383,682**	15,917,661
	25,071,036	25,427,447	**24,879,196**	25,944,179

The amount owing to the Manager which represents management fee payable and the amounts owing to companies related to the Manager are unsecured and expected to be settled within the normal credit period of 30 days (2018: 30) days.

12. **OTHER PAYABLES (Continued)**

Included in tenants' deposits refundable within 12 months of the Group and of the Trust are deposits received from companies related to the Manager amounting to RM2,950,436 (2018: RM2,633,250).

13. **DEFERRED TAX LIABILITIES**

	Group and Trust	
	2019 RM	**2018 RM**
At 1 January	**-**	-
Charged to profit or loss (Note 22)	**19,776,000**	-
At 31 December	**19,776,000**	-

The deferred tax liabilities represent the tax effects of RPGT on fair value adjustment of investment properties.

14. **BANK BORROWINGS**

	Group and Trust	
	2019 RM	**2018 RM**
Secured		
Revolving credit I	**61,700,000**	66,300,000
Revolving credit II	**55,000,000**	55,000,000
Revolving credit III	**2,100,000**	-
Revolving credit IV	**156,000,000**	156,000,000
	274,800,000	277,300,000

Revolving credits I and II are secured by legal charges over UOA Centre Parcels and UOA II Parcels (excluding Level 17, UOA II).

Revolving credit III is secured by a legal charge over Wisma UOA Damansara II.

Revolving credit IV is secured by Loan Agreements cum Assignment, Deeds of Extension of Deed of Assignment, Deeds of Assignment of Rental Proceeds ("DARP"), Deeds of Extension of DARP and four (4) Powers of Attorney, and legal charges over UOA Damansara Parcels and Parcel B - Menara UOA Bangsar (excluding Petak 9 and 14, MUB).

The revolving credits are subject to periodic review and repayable on demand. The Manager is of the opinion that the facility will be rolled over and remain available in the long term.

The effective interest/profit rates of the borrowings ranging from 3.80% to 4.35% (2018: 4.31% to 4.35%) per annum.

14. BANK BORROWINGS (Continued)

Changes in borrowings arising from financing activities pertain to drawdown and repayment made in the statements of cash flows.

15. PROVISION FOR INCOME DISTRIBUTION

	Group and Trust	
	2019 RM	**2018 RM**
At 1 January	**21,524,173**	18,479,496
Provision during the year	**38,523,618**	38,608,191
Distribution paid/payable	**(39,453,936)**	(35,563,514)
At 31 December	**20,593,855**	21,524,173

The distribution to unitholders is from the following sources of the Trust:

	2019 RM	**2018 RM**
Sources of income		
Gross rental income	**78,196,742**	78,176,804
Interest income	**58,296**	112,015
Other income	**1,059,009**	1,857,305
	79,314,047	80,146,124
Expenses (excluding Manager's fees)		
Property expenses	**20,595,362**	20,923,283
Non-property expenses	**12,494,854**	16,608,112
	33,090,216	37,531,395
Net income before Manager's fees, income distribution, fair value gain on investment properties, net changes on financial liabilities measured at amortised cost and taxation	**46,223,831**	42,614,729
Fair value gain on investment properties	**-**	22,817,292
Net changes on financial liabilities measured at amortised cost	**151,773**	(35,435)
Manager's fees	**(4,878,712)**	(4,885,451)
Tax expense	**(21,070,418)**	(111,143)
	20,426,474	60,399,992
Undistributed income during the year		
- Unrealised	**19,624,227**	(317,537)
- Realised	**(1,527,083)**	(21,474,264)
Total income distribution during the year	**38,523,618**	38,608,191
Distribution per year (sen)	**9.11**	9.13

16. UNITHOLDERS' CAPITAL

	Group and Trust	
	2019 Units/RM	2018 Units/RM
Issued and fully paid		
Number of units		
At 1 January/31 December	**422,871,776**	422,871,776
Unitholders' capital		
At 1 January/31 December	**476,062,161**	476,062,161

17. GROSS RENTAL

Gross rental represents rental income from the investment properties and are generated from Malaysia.

18. PROPERTY OPERATING EXPENSES

	Group		Trust	
	2019 RM	2018 RM	2019 RM	2018 RM
Assessment and quit rent	**3,961,563**	4,057,073	**3,948,508**	4,056,109
Insurance	**207,192**	257,443	**206,251**	257,415
Maintenance fees	**9,935,913**	9,462,774	**9,757,563**	9,444,431
Others	**4,223,987**	4,715,296	**4,205,627**	4,714,328
Direct operating expenses	**18,328,655**	18,492,586	**18,117,949**	18,472,283
Property management fees	**2,477,413**	2,451,000	**2,477,413**	2,451,000
	20,806,068	20,943,586	**20,595,362**	20,923,283

19. MANAGER'S FEES

The Manager is entitled under the Deed to a management fee of up to 1.00% per annum of the Net Asset Value of the Trust, calculated on a monthly accrual basis and payable monthly in arrears.

For the financial year, the Manager charged a manager's fees of RM4,878,712 (2018: RM4,885,451) which was calculated based on 0.67% (2018: 0.67%) of the Net Asset Value of the Trust on monthly basis.

20. TRUSTEE'S FEES

The Trustee is entitled to a fee of up to 0.05% per annum of Net Asset Value of the Trust, calculated on a monthly accrual basis and payable monthly in arrears.

For the financial year, the Trustee charged a trustee's fees of RM218,450 (2018: RM218,752) which was calculated based on 0.03% (2018: 0.03%) of the Net Asset Value of the Trust.

21. FINANCE COSTS

	Group and Trust	
	2019 RM	**2018 RM**
Interest expense on revolving credit	**11,770,313**	15,836,883

22. TAX EXPENSE

	Group		Trust	
	2019 RM	**2018 RM**	**2019 RM**	**2018 RM**
Current year provision				
- current tax	**80,000**	2,000	**-**	-
- deferred tax (Note 13)	**19,776,000**	-	**19,776,000**	-
Under provision of current tax in prior years	**312**	-	**-**	-
RPGT on disposed properties	**1,294,418**	111,143	**1,294,418**	111,143
Tax expense	**21,150,730**	113,143	**21,070,418**	111,143

The numerical reconciliation of tax expense on income before tax with the statutory tax rate is as follows:

	Group		Trust	
	2019 RM	**2018 RM**	**2019 RM**	**2018 RM**
Income before tax	**40,986,917**	57,649,915	**41,496,892**	60,511,135
Taxation at statutory tax rate of 24%	**9,836,860**	13,835,980	**9,959,254**	14,522,672
Non-deductible expenses	**647,609**	1,589,655	**445,215**	1,452,962
Non-taxable income	**(10,404,469)**	(15,423,635)	**(10,404,469)**	(15,975,634)
RPGT on fair value adjustment of investment properties	**19,776,000**	-	**19,776,000**	-
RPGT on disposed properties	**1,294,418**	111,143	**1,294,418**	111,143
Under provision of current tax in prior years	**312**	-	**-**	-
Tax expense	**21,150,730**	113,143	**21,070,418**	111,143

Pursuant to the amended Section 61A of the Income Tax Act, 1967, where in the basis period for a year of assessment, 90% or more of the total income of the trust is distributed to its unitholders, the total income of the trust for that year of assessment shall be exempted from corporate tax.

23. EARNINGS PER UNIT

The earnings per unit after manager's fees of the Group and of the Trust have been calculated by dividing income after tax for the financial year of RM19,836,187 and RM20,426,474 (2018: RM57,536,772 and RM60,399,992) by the weighted average number of units in issue of 422,871,776 (2018: 422,871,776).

The earnings per unit before manager's fees of the Group and of the Trust have been calculated by dividing income after tax before deduction of manager's fees for the financial year of RM24,714,899,and RM25,305,186 (2018: RM62,422,223 and RM65,285,443) by the weighted average number of units in issue of 422,871,776 (2018: 422,871,776).

24. TRANSACTIONS WITH STOCKBROKING COMPANIES

There were no transactions made with stockbroking companies during current and prior years.

25. UNITHOLDERS BY THE MANAGER

The Manager did not hold any direct units in the Trust in current and prior years.

26. UNITHOLDERS RELATED TO THE MANAGER

	Number of units		Percentage of units in issue		Market value	
	2019 RM	2018 RM	2019 %	2018 %	2019 RM	2018 RM
Directors of the Manager:						
- Alan Charles Winduss	**100,000**	100,000	**0.02**	0.02	**123,000**	131,000
- Dato' Gan Boon Khuay	**100,000**	100,000	**0.02**	0.02	**123,000**	131,000
- Kung Beng Hong	**100,000**	100,000	**0.02**	0.02	**123,000**	131,000
- Kong Sze Choon	**39,000**	39,000	**0.01**	0.01	**47,970**	51,090
Companies related to the Manager:						
- Desa Bukit Pantai Sdn Bhd	**102,261,538**	102,261,538	**24.18**	24.18	**125,781,692**	133,962,615
- Wisma UOA Sdn Bhd	**77,729,000**	77,729,000	**18.38**	18.38	**95,606,670**	101,824,990
- Rich Accomplishment Sdn Bhd	**74,661,538**	74,661,538	**17.66**	17.66	**91,833,692**	97,806,615
- Damai Positif Sdn Bhd	**48,000,000**	48,000,000	**11.35**	11.35	**59,040,000**	62,880,000
- Dynasty Portfolio Sdn Bhd	**15,464,500**	15,464,500	**3.66**	3.66	**19,021,335**	20,258,495
- LTG Development Sdn Bhd	**5,600,700**	5,600,700	**1.32**	1.32	**6,888,861**	7,336,917
Persons related to the Manager via relationship with a Director of the Manager						
- Kong May Chee	**15,900**	15,900	**0.00**	0.00	**19,557**	20,829
- Kong Ai Chee	**13,500**	13,500	**0.00**	0.00	**16,605**	17,685
Director of the Manager (indirect interest)						
- Kong Sze Choon *	**24,000**	24,000	**0.01**	0.01	**29,520**	31,440
Persons related to the Manager via relationship with a Director of the Manager (indirect interest)						
- Kong Chong Soon @ Chi Suim **	**323,717,276**	323,717,276	**76.55**	76.55	**398,172,249**	424,069,632

26. **UNITHOLDERS RELATED TO THE MANAGER (Continued)**

* Deemed interest through his shareholding in Global Transact Sdn Bhd.

** Deemed interest through his shareholdings in United Overseas Australia Ltd (the ultimate holding company of Desa Bukit Pantai Sdn Bhd, Wisma UOA Sdn Bhd, Rich Accomplishment Sdn Bhd, Damai Positif Sdn Bhd, Dynasty Portfolio Sdn Bhd and LTG Development Sdn Bhd).

The market value of the units is determined by using the closing market value of RM1.23 as at 31 December 2019 (31 December 2018: RM1.31).

27. **RELATED PARTY TRANSACTIONS**

For the purposes of these financial statements, parties are considered to be related to the Group if the Group or the Trust has the ability, directly or indirectly, to control the party or exercise significant influence over the party in making financial and operating decisions, or vice versa, or where the Group or the Trust and the party are subject to common control or common significant influence. Related parties may be individuals or other entities.

Related parties also include key management personnel defined as those persons having authority and responsibility for planning, directing and controlling the activities of the Group either directly or indirectly. The key management personnel include all Directors of the Manager, and certain members of senior management of the Manager.

Other than those disclosed elsewhere in the financial statements, the significant related party transactions are disclosed as follows:

	Transaction value		Balance outstanding	
	2019 RM	**2018 RM**	**2019 RM**	**2018 RM**
Transactions with companies related to the Managers:				
Group and Trust				
Rental received/receivable	**11,620,344**	11,253,806	**-**	-
Parking fees paid	**56,540**	58,493	**-**	-
Security fees paid/payable	**278,400**	440,751	**24,592**	24,592
Landscaping fees paid/payable	**34,200**	45,384	**4,611**	9,222
Repair and maintenance paid/payable	**4,065**	11,103	**1,439**	4,362
Annual general meeting expenses paid	**19,055**	22,310	**-**	-
Refundable deposits for disposal of investment property	**-**	-	**155,000**	-

27. RELATED PARTY TRANSACTIONS (Continued)

Other than those disclosed elsewhere in the financial statements, the significant related party transactions are disclosed follows (Continued):

	Transaction value		Balance outstanding	
	2019 RM	2018 RM	2019 RM	2018 RM
Transactions with subsidiary company:				
Trust				
Rental received/receivable	**59,747**	-	-	-
Disposal of investment property	**5,200,000**	7,000,000	-	-

The above transactions have been entered into in the normal course of business and have been established based on terms and conditions that are not materially different from those obtainable in transactions with unrelated parties.

28. MATURITY ANALYSIS OF LEASE PAYMENTS

The Group and the Trust as lessor

The Group and the Trust lease out their investment properties under operating leases. These leases are non-cancellable and typically run for a period ranging from 1 to 5 years, with the option to renew. Subsequent renewals are negotiated with the lease on average rental period of 1 to 5 years. None of the leases include contingent rentals.

The future undiscounted lease payments receivables after the reporting date are as follows:

	Group		Trust	
	2019 RM	2018 RM	2019 RM	2018 RM
As lessor				
Within 1 year	**62,758,202**	66,662,623	**62,157,487**	66,662,623
In the second year	**27,466,711**	29,876,638	**27,046,376**	29,876,638
In the third year	**8,657,477**	6,284,756	**8,546,779**	6,284,756
In the fourth year	**1,046,650**	953,836	**1,046,650**	953,836
In the fifth year	-	503,895	-	503,895
	99,929,040	104,281,748	**98,797,292**	104,281,748

29. CAPITAL COMMITMENTS

	Group and Trust	
	2019 RM	2018 RM
Approved and not contracted for the fit out works for investment property		
- Wisma UOA Damansara II	-	1,193,378

30. FINANCIAL INSTRUMENTS

Classification of financial instruments

The Group and the Trust have financial instruments categorised at amortised cost only and details as follows:

	Group		Trust	
	2019 RM	2018 RM	2019 RM	2018 RM
Financial assets				
- at amortised cost				
Trade and other receivables	**7,573,095**	10,873,868	**7,563,261**	10,859,352
Amount owing by a subsidiary company	**-**	-	**12,603,502**	7,927,862
Deposits with licensed financial institutions	**1,000,000**	1,700,000	**750,000**	1,700,000
Bank balances	**1,608,717**	1,620,596	**1,383,194**	1,594,772
	10,181,812	14,194,464	**22,299,957**	22,081,986
Financial liabilities				
- at amortised cost				
Other payables	**24,536,401**	24,914,000	**24,351,569**	25,430,732
Bank borrowings	**274,800,000**	277,300,000	**274,800,000**	277,300,000
	299,336,401	302,214,000	**299,151,569**	302,730,732

Fair value of financial instruments

Included in payables are tenants' deposits received. The tenants' deposits are determined based on the present value of future cash flows discounted at the market interest rate of 2.980% (2018: 3.620%) per annum at the end of the reporting period.

The carrying amounts of all other financial assets and liabilities approximate fair values due to the relatively short-term nature of these financial instruments.

31. FINANCIAL RISK MANAGEMENT OBJECTIVE AND POLICIES

The Group and the Trust operate within clearly defined guidelines as set out in the Securities Commission's Guidelines on Listed Real Estate Investment Trusts ("REIT Guidelines"). These REIT Guidelines seek to provide a regulatory framework that would protect the interests of the investing public. The Group and the Trust are exposed to a variety of financial risks, including credit risk, interest rate risk and liquidity risk arising from their operations and the use of financial instruments.

31. **FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES (Continued)**

Information regarding the Group's and the Trust's exposure to the abovementioned risks and the Group's and the Trust's risk management policies, which ensure compliance with the spirit of the REIT Guidelines, are set out below:

(a) **Credit risk**

Credit risk arises from the possibility that a tenant or counter party may be unable to meet the terms of a contract in which the Group and the Trust have gain position. At the reporting date, the maximum exposure to credit risk is represented by the carrying amount of each financial asset in the statements of financial position.

The Group and the Trust are not exposed to significant credit risks as it is not permitted to extend loans or any other forms of credit facilities. The risk of non-collectability of monthly rentals is also mitigated with rental deposits collected from the tenants.

The ageing analysis of receivables as at the reporting date which is trade in nature is as follows:

Group	Expected credit loss rate %	Total gross carrying amount RM	Expected credit loss RM
2019			
Not past due	**-**	**210,243**	**-**
Past due 1 to 30 days	**-**	**229,756**	**-**
Past due 31 to 90 days	**-**	**227,508**	**-**
Past due more than 91 days	**-**	**548,097**	**-**
Past due more than 91 days and after set off with deposits paid	**100.00**	**703,952**	**703,952**
		1,919,556	**703,952**
2018			
Not past due	-	118,510	-
Past due 1 to 30 days	-	589,425	-
Past due 31 to 90 days	-	738,076	-
Past due more than 91 days	2.81	760,854	21,380
Past due more than 91 days and after set off with deposits paid	100.00	686,240	686,240
		2,893,105	707,620

31. **FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES (Continued)**

Information regarding the Group's and the Trust's exposure to the abovementioned risks and the Group's and the Trust's risk management policies, which ensure compliance with the spirit of the REIT Guidelines, are set out below (Continued):

Credit risk (Continued)

The ageing analysis of receivables as at the reporting date which is trade in nature is as follows (Continued):

Trust	Expected credit loss rate %	Total gross carrying amount RM	Expected credit loss RM
2019			
Not past due	**-**	**201,775**	**-**
Past due 1 to 30 days	**-**	**229,121**	**-**
Past due 31 to 90 days	**-**	**226,778**	**-**
Past due more than 91 days	**-**	**548,096**	**-**
Past due more than 91 days and after set off with deposits paid	**100.00**	**703,952**	**703,952**
		1,909,722	**703,952**
2018			
Not past due	-	118,510	-
Past due 1 to 30 days	-	574,909	-
Past due 31 to 90 days	-	738,076	-
Past due more than 91 days	2.81	760,854	21,380
Past due more than 91 days and after set off with deposits paid	100.00	686,240	686,240
		2,878,589	707,620

(b) **Interest rate risk**

The Group and the Trust have no exposure to movements in market interest rates other than revolving credit facilities and deposits with licensed financial institutions.

Financial assets

By placing its deposits on short tenures and at prevailing market interest rates, the Group and the Trust are able to reduce their exposures to interest rate fluctuations.

31. FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES (Continued)

Information regarding the Group's and the Trust's exposure to the abovementioned risks and the Group's and the Trust's risk management policies, which ensure compliance with the spirit of the REIT Guidelines, are set out below (Continued):

(b) Interest rate risk (Continued)

Financial liabilities

The Group and the Trust minimise their interest rate risk by borrowing as far as possible at a floating interest rate.

The information on maturity and effective interest/profit rates on the revolving credits are disclosed in Note 14 to the Financial Statements.

A sensitivity analysis has been performed based on the outstanding floating rate borrowings of the Group and the Trust as at the reporting date. If interest rates increase or decrease by 50 basis points with all other variables held constant, the Group's and the Trust's income after tax would decrease or increase by RM1,374,000 (2018: RM1,387,000), as a result of higher or lower interest expense on these borrowings.

(c) Liquidity risk

The Group and the Trust ensure that there are adequate funds to repay the revolving credit in a timely and cost-effective manner. Sources of funds can be via issuance of units, internally generated funds or borrowings. As timing of these arrangements is critical, the Group and the Trust may be exposed to the risk of its investment properties being foreclosed in the interim. However, the Manager is of the opinion that the facilities will be rolled over and remain available for the long term and there is no imminent obligation to repay.

Group	Carrying amount RM	Contractual cash flows RM	Less than 1 year RM	1 to 5 years RM
2019				
Other payables	**24,536,401**	**24,940,601**	**14,885,705**	**10,054,896**
Borrowings	**274,800,000**	**274,800,000**	**274,800,000**	**-**
	299,336,401	**299,740,601**	**289,685,705**	**10,054,896**
2018				
Other payables	24,914,000	25,166,427	14,887,482	10,278,945
Borrowings	277,300,000	277,300,000	277,300,000	-
	302,214,000	302,466,427	292,187,482	10,278,945

31. **FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES (Continued)**

Information regarding the Group's and the Trust's exposure to the abovementioned risks and the Group's and the Trust's risk management policies, which ensure compliance with the spirit of the REIT Guidelines, are set out below (Continued):

(c) **Liquidity risk (Continued)**

Trust	Carrying amount RM	Contractual cash flows RM	Less than 1 year RM	1 to 5 years RM
2019				
Other payables	**24,351,569**	**24,755,769**	**14,856,055**	**9,899,714**
Borrowings	**274,800,000**	**274,800,000**	**274,800,000**	**-**
	299,151,569	**299,555,769**	**289,656,055**	**9,899,714**
2018				
Other payables	25,430,732	25,683,159	15,404,214	10,278,945
Borrowings	277,300,000	277,300,000	277,300,000	-
	302,730,732	302,983,159	292,704,214	10,278,945

32. **CAPITAL MANAGEMENT**

The Group's objectives when managing capital is to maintain a strong capital base and safeguard the Group's ability to continue as a going concern, so as to maintain unitholder, creditor and market confidence and to sustain future development of the business. The Directors of the Manager monitor and determine an optimal debt-to-equity ratio that complies with debt covenants and regulatory requirements.

UOA REIT is permitted to procure borrowings of up to 50% of its total asset value pursuant to the REIT Guidelines.

Total borrowings compared to total asset value at the reporting date is as follows:

	Group	
	2019 RM	**2018 RM**
Total asset value (RM)	**1,046,825,669**	1,049,495,779
Total borrowings (RM)	**274,800,000**	277,300,000
Total borrowings to total asset value (%)	**26**	26

33. **EVENTS DURING THE FINANCIAL YEAR AND AFTER THE REPORTING PERIOD**

On 8 August 2019, the Trust had entered into a sale and purchase agreement to dispose one of the investment properties – Petak 3, Menara UOA Bangsar to Desa Bukit Pantai Sdn Bhd with a total consideration of RM1,550,000. The purchaser has paid a 10% deposit of RM155,000 as at financial year end and the ownership has been transferred on 2 January 2020.

Analysis Of Unitholdings

Distribution of Unitholders as at 31 December 2019

Unit Class	No. of Unitholders	%	No. of Units held	%
Less than 100	118	3.14	1,337	0.00
100 to 1,000 units	1,026	27.25	564,519	0.13
1,001 to 10,000 units	1,793	47.62	8,718,584	2.06
10,001 to 100,000 units	739	19.63	23,444,160	5.55
100,001 to less than 5% of issued units	84	2.23	56,429,600	13.34
5% and above of issued units	5	0.13	333,713,576	78.92
Total	3,765	100.00	422,871,776	100.00

Classification of Unitholders as at 31 December 2019

Category of Unitholders	No. of Unitholders			No. of Units held		
	Malaysian Bumiputra	Malaysian Non-Bumiputra	Foreign	Malaysian Bumiputra	Malaysian Non-Bumiputra	Foreign
1) Individual	134	2,690	58	267,700	31,796,899	1,790,301
2) Body Corporate						
a) Banks/Finance Companies	3	-	-	4,515,000	-	-
b) Investment Trusts/ Foundation/ Charities	-	2	-	-	338,000	-
c) Industrial and Commercial Companies	2	39	1	115,000	325,033,276	50,000
3) Government Agencies/ Institutions	1	1	-	1,422,300	1,422,300	-
4) Nominees	552	251	30	11,414,400	41,881,000	2,825,500
5) Others	-	1	-	-	100	-
Total	692	2,984	89	17,734,400	400,471,575	4,665,801
Grand Total		**3,765**			**422,871,776**	

SUBSTANTIAL SHAREHOLDERS AS AT 31 DECEMBER 2019

	Substantial Shareholders	Direct		Indirect	
		Units	%	Units	%
1	Damai Positif Sdn Bhd ("Damai Positif")	48,000,000	11.35	-	-
2	Desa Bukit Pantai Sdn Bhd ("Desa Bukit Pantai")	102,261,538	24.18	-	-
3	Rich Accomplishment Sdn Bhd ("Rich Accomplishment")	74,661,538	17.66	-	-
4	Wisma UOA Sdn Bhd ("Wisma UOA")	77,729,000	18.38	-	-
5	UOA Holdings Sdn Bhd ("UOAH")	-	-	323,717,276[1]	76.55
6	United Overseas Australia Ltd ("UOAL")	-	-	323,717,276[1]	76.55
7	Transmetro Sdn Bhd ("Transmetro")	-	-	323,717,276[2]	76.55
8	Griyajaya Sdn Bhd ("Griyajaya")	-	-	323,717,276[3]	76.55
9	Kong Chong Soon @ Chi Suim	-	-	323,767,276[4]	76.55
10	Kong Pak Lim	-	-	323,717,276[2]	76.55
11	Employees Provident Fund	31,061,500	7.35	-	-

Notes:
1. Deemed interested by virtue of Section 6A of the Companies Act 1965 ("the Act") through its unit holdings in Damai Positif, Desa Bukit Pantai, Dynasty Portfolio Sdn Bhd ("Dynasty"), LTG Development Sdn Bhd ("LTG"), Rich Accomplishment and Wisma UOA.
2. Deemed interested by virtue of Section 6A of the Act through its/his unit holdings in UOAL and Griyajaya which in turn has direct interest in UOAL and indirect interest in UOAH.
3. Deemed interested by virtue of Section 6A of the Act through its unit holdings in UOAL and indirect interest in UOAH.
4. Deemed interested by virtue of Section 6A of the Act through his unit holdings in Transmetro which in turn has direct interest in Griyajaya which in turn has direct interest in UOAL and indirect interest in UOAH.

Thirty (30) Largest Unitholders

As At 31 December 2019

	Unitholders	No. of Units	%
1)	Desa Bukit Pantai Sdn Bhd	102,261,538	24.18
2)	Wisma UOA Sdn Bhd	77,729,000	18.38
3)	Rich Accomplishment Sdn Bhd	74,661,538	17.66
4)	Damai Positif Sdn Bhd	48,000,000	11.35
5)	Citigroup Nominees (Tempatan) Sdn Bhd Employees Provident Fund Board	31,061,500	7.35
6)	Dynasty Portfolio Sdn Bhd	15,464,500	3.66
7)	LTG Development Sdn Bhd	5,370,700	1.27
8)	Amanah Raya Berhad - Kumpulan Wang Bersama	4,180,000	0.99
9)	Citigroup Nominees (Tempatan) Sdn Bhd MCIS Insurance Berhad (Life Par Fd)	3,613,400	0.85
10)	Citigroup Nominees (Tempatan) Sdn Bhd Valuecap Sdn Bhd	1,422,300	0.34
11)	Kumpulan Wang Persaraan (Diperbadankan)	1,422,300	0.34
12)	Permodalan Nasional Berhad	1,422,300	0.34
13)	Citigroup Nominees (Tempatan) Sdn Bhd MCIS Insurance Berhad (Ann Fd)	1,229,300	0.29
14)	CGS-CIMB Nominees (Tempatan) Sdn Bhd Pledged securities account for Ramanathan A/L L.Manickavasagan (Solaris - CL)	1,125,000	0.27
15)	Maybank Nominees (Tempatan) Sdn Bhd Pledged securities account for Law Kiu Kiong	990,700	0.23
16)	Citigroup Nominees (Asing) Sdn Bhd Exempt An for CLSA Limited (Cust - Non Res)	986,400	0.23
17)	CIMB Group Nominees (Tempatan) Sdn Bhd Yayasan Hasanah (AUR - VCAM)	875,800	0.21
18)	CGS-CIMB Nominees (Tempatan) Sdn Bhd Pledged securities account for Lim Chen Yik (Penang - CL)	775,000	0.18
19)	Chong Kok Fah	650,000	0.15
20)	Law Kiu Kiong	643,000	0.15
21)	Cimsec Nominees (Tempatan) Sdn Bhd – CIMB for Sieh Kok Swee (PB)	628,000	0.15
22)	Lian Mong Yee @ Lian Mung Yee	625,500	0.15
23)	Citigroup Nominees (Tempatan) Sdn Bhd MCIS Insurance Berhad (Grp Life Fd)	525,500	0.12
24)	Yeap Ah Kau @ Yeap Chan Tooi	500,000	0.12
25)	RHB Nominees (Tempatan) Sdn Bhd Exempt An for RHB Securities Singapore Pte. Ltd. (A/C Clients)	483,000	0.11
26)	CGS-CIMB Nominees (Asing) Sdn Bhd Exempt An for CGS-CIMB Securities (Singapore) Pte Ltd (Retail Clients)	466,500	0.11
27)	Ng Inn Jwee	430,000	0.10
28)	Kenanga Nominees (Tempatan) Sdn Bhd Rakuten Trade Sdn Bhd for Ng Seng Mong @ Wong Sin Mong	420,000	0.10
29)	CIMSEC Nominees (Tempatan) Sdn Bhd CIMB For Liew Tian Xiong (PB-0J0007)	412,000	0.10
30)	Citigroup Nominees (Tempatan) Sdn Bhd MCIS Insurance Berhad (Div Fd)	400,000	0.10
	Total	**378,774,776**	**89.58**

Notice Of Eighth Annual General Meeting

UOA REAL ESTATE INVESTMENT TRUST
(constituted in Malaysia under the Deed dated 28 November 2005 entered into between UOA Asset Management Sdn Bhd and RHB Trustees Berhad, companies incorporated in Malaysia under the Companies Act, 1965)

NOTICE IS HEREBY GIVEN THAT the Eighth Annual General Meeting of UOA Real Estate Investment Trust (**"UOA REIT"**) will be held at Prism Room, Level 3A, Connexion@Nexus, Bangsar South City, No. 7, Jalan Kerinchi, 59200 Kuala Lumpur, Malaysia on Wednesday, 22 April 2020 at 10.00 a.m. or at any adjournment, for the following purposes:

AGENDA

1. To lay the Audited Financial Statements for the financial year ended 31 December 2019 together with the Trustee's Report to the Unitholders issued by RHB Trustees Berhad, as trustee for UOA REIT and the Statement by the Manager issued by UOA Asset Management Sdn Bhd, as the manager of UOA REIT and the Independent Auditors' Report thereon. (Refer note 2)

By Order of the Board of
UOA ASSET MANAGEMENT SDN BHD 200501015592 (692639-U)
The Manager of UOA Real Estate Investment Trust

YAP KAI WENG (MAICSA 74580)
WONG YOKE LENG (MAICSA 7032314)
Company Secretaries

Kuala Lumpur
28 February 2020

Notes:

1. **Appointment of Proxy**
   (i) Only depositors whose names appear in the Record of Depositors as at 15 April 2020 shall be regarded as Unitholders and be entitled to attend and speak at the Eighth Annual General Meeting.
   (ii) A Unitholder of UOA REIT ("Unitholder") shall be entitled to attend and speak and shall be entitled to appoint another person (whether a Unitholder or not) as its proxy to attend and speak in his/her stead.
   (iii) Where a Unitholder is a corporation, its duly authorised representative shall be entitled to attend and speak, and shall be entitled to appoint another person (whether a Unitholder or not) as its proxy to attend and speak in its stead.
   (iv) Where a Unitholder is an Authorised Nominee as defined under the Securities Industry (Central Depositories) Act 1991, it may appoint at least one (1) proxy in respect of each Securities Account it holds with units of UOA REIT standing to the credit of the said Securities Account.
   (v) Where a Unitholder appoints two (2) proxies, the appointment shall be invalid unless it specifies the proportions of its holdings to be represented by each proxy.
   (vi) The instrument appointing a proxy shall be in writing under the hand of the appointer or of its attorney duly authorised in writing or if the appointer is a corporation either under its common seal or under the hand of an officer or attorney duly authorised.
   (vii) The instrument appointing a proxy must be deposited at the Business Office of the Trustee at Level 11, Tower Three, RHB Centre, Jalan Tun Razak, 50400 Kuala Lumpur, Malaysia not less than twenty-four (24) hours before the time appointed for holding the Meeting or any adjournment thereof.
2. **Audited Financial Statements for the Financial Year Ended 31 December 2019**
   This Agenda is meant for discussion only as the Audited Financial Statements do not require formal approval of Unitholders under the Securities Commission's Guidelines on Listed Real Estate Investment Trusts. Hence, this matter will not be put forward for voting.

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Proxy Form

REAL ESTATE INVESTMENT TRUST

UOA REAL ESTATE INVESTMENT TRUST
(constituted in Malaysia under the Deed dated 28 November 2005 entered into between UOA Asset Management Sdn Bhd and RHB Trustees Berhad, companies incorporated in Malaysia under the Companies Act, 1965)

CDS Account No.:	
No. of Units held:	

I/We ____________________________________ NRIC No./Company No. __________________________
of ____ Tel No. __________________________
being a Unitholder/Unitholders of UOA REIT, hereby appoint the following person(s) as my proxy:

No.	Name as per NRIC	NRIC No.	% unitholding to be represented
1.			
2.			

or failing him/her the Chairman of the Meeting as my/our proxy to attend on my/our behalf the Eighth Annual General Meeting of UOA REIT to be held at Prism Room, Level 3A, Connexion@Nexus, Nexus, Bangsar South City, No. 7, Jalan Kerinchi, 59200 Kuala Lumpur, Malaysia on Wednesday, 22 April 2020 at 10.00 a.m. or at any adjournment.

____
Signature of Unitholder(s)/Common Seal for Corporate Unitholder(s)

Date:

Notes:

(i) Only depositors whose names appear in the Record of Depositors as at 15 April 2020 shall be regarded as Unitholders and be entitled to attend and speak at the Eighth Annual General Meeting.

(ii) A Unitholder of UOA REIT ("Unitholder") shall be entitled to attend and speak and shall be entitled to appoint another person (whether a Unitholder or not) as its proxy to attend and speak in his/her stead.

(iii) Where a Unitholder is a corporation, its duly authorised representative shall be entitled to attend and speak, and shall be entitled to appoint another person (whether a Unitholder or not) as its proxy to attend and speak in its stead.

(iv) Where a Unitholder is an Authorised Nominee as defined under the Securities Industry (Central Depositories) Act 1991, it may appoint at least one (1) proxy in respect of each Securities Account it holds with units of UOA REIT standing to the credit of the said Securities Account.

(v) Where a Unitholder appoints two (2) proxies, the appointment shall be invalid unless it specifies the proportions of its holdings to be represented by each proxy.

(vi) The instrument appointing a proxy shall be in writing under the hand of the appointer or of its attorney duly authorised in writing or if the appointer is a corporation either under its common seal or under the hand of an officer or attorney duly authorised.

(vii) The instrument appointing a proxy must be deposited at the Business Office of the Trustee at Level 11, Tower Three, RHB Centre, Jalan Tun Razak, 50400 Kuala Lumpur, Malaysia not less than twenty-four (24) hours before the time appointed for holding the Meeting or any adjournment thereof.

Fold This Flap For Sealing

Then Fold Here

AFFIX
STAMP

RHB TRUSTEES BERHAD
200201005356 (573019-U)
(as Trustee for UOA Real Estate Investment Trust)
Level 11, Tower Three
Jalan Tun Razak
50400 Kuala Lumpur, Malaysia

1st Fold Here

UOA Asset Management Sdn Bhd
200501015592 (692639-U)

UOA Corporate Tower
Lobby A, Avenue 10, The Vertical
Bangsar South City
No. 8, Jalan Kerinchi
59200 Kuala Lumpur, Malaysia

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